Business Owner Policy Underwriting Guidebook

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November 2025

Prepared for internal underwriting use.

Section 1. Global Underwriting Requirements

Hazardous Materials Operations

Applicants whose primary operations involve storing, transporting, or disposing of hazardous or toxic materials are not eligible. Such activities create environmental and long-tail liabilities that fall outside the Business Owner Policy program.

Athletic Team or Event Sponsorship

Risks that organize or sponsor athletic teams or sporting events are declined because off-premises athletic exposures generate bodily-injury hazards not contemplated by standard coverage.

Uninsured Subcontractor Exposure

Applications showing subcontractors without Certificates of Insurance or hold-harmless agreements are ineligible. Proper risk transfer must be verified before coverage is considered.

Criminal or Fraudulent Background

Any principal or entity with convictions for fraud, arson, or similar crimes is automatically declined, as prior dishonest acts present unacceptable moral hazard.

Adverse Prior Insurance History

Accounts with policies canceled, declined, or non-renewed within the past three years for underwriting reasons are not eligible until satisfactory explanation and proof of correction are provided.

Ambulance or Emergency Medical Transport

Businesses engaged in emergency or medical transport services are excluded because professional and auto liabilities exceed the BOP's scope.

Missing Workers' Compensation Coverage

Any employer lacking legally required Workers' Compensation insurance or a valid exemption must be declined for non-compliance with statutory insurance requirements.

Cannabis or Controlled-Substance Operations

Applicants involved in the cultivation, manufacture, or sale of cannabis, CBD, or other controlled substances are ineligible due to federal illegality and inconsistent regulation.

Common-Ownership Aggregation

When multiple related businesses create combined exposures that exceed one insured risk, the account is declined unless each entity can be underwritten separately.

Manufacturing or Product Repackaging

Operations that manufacture, mix, relabel, or repackage products are excluded. The BOP covers only incidental private-labeling without production exposures.

Equipment Rental or Loan without Risk Transfer

Businesses that rent or loan equipment to others without written contracts and Certificates of Insurance are not eligible because they assume third-party liability for that equipment's use.

Financial Instability or Bankruptcy

Applicants currently in bankruptcy or with unresolved judgments or liens are declined until financial stability is demonstrated, as insolvency heightens moral-hazard concerns.

High Flammable or Explosive Hazard

Any operation with significant exposure to flammables, explosives, or reactive chemicals is declined unless specially engineered and filed for separate underwriting treatment.

Unmitigated Catastrophe Exposure

Properties in severe wind, flood, or earthquake zones are ineligible when protective measures or reinsurance capacity are lacking. Confirm catastrophe controls before binding.

Sexual-Misconduct or Discrimination Claims History

Applicants with prior or pending claims of sexual misconduct, discrimination, or negligent hiring are declined due to unacceptable liability and reputational risk.

Uncorrected Fire or Life-Safety Code Violations

Any building with outstanding fire-code or life-safety violations at binding is ineligible. Coverage may be reconsidered only after documented correction and re-inspection.

Section 2. Appetite Levels Summary

index	business_type_id	name	appetite_level
1	BT-0001	Accounting & Financial Services	Acceptable
2	BT-0002	Actuarial & Appraisal Services	Preferred
3	BT-0003	Advertising Agencies	Acceptable
4	BT-0004	Air Conditioning & Heating (Sales/Service/Manufacturing)	Preferred
5	BT-0005	Alarm System Installation	Acceptable
6	BT-0006	Ambulance & Emergency Services	Acceptable
7	BT-0007	Animal & Veterinary Services	Acceptable
8	BT-0008	Answering & Telemarketing Services	Acceptable
9	BT-0009	Antique & Collectible Stores	Limited
10	BT-0010	Appliance Sales & Repair	Preferred
11	BT-0011	Army/Navy/Military Surplus Stores	Acceptable
12	BT-0012	Art Galleries & Art Supply Stores	Acceptable
13	BT-0013	Artificial Flowers & Floral Supplies	Preferred
14	BT-0014	Artists & Craft Studios	Preferred
15	BT-0015	Asphalt & Paving Services	Acceptable
16	BT-0016	Assembly & Packaging Services	Preferred
17	BT-0017	Audio & Visual Equipment Sales/Service	Acceptable
18	BT-0018	Auto Parts & Accessories	Preferred
19	BT-0019	Auto Services & Repair (including body shops)	Acceptable
20	BT-0020	Bakeries & Bagel Shops	Acceptable
21	BT-0021	Banks & Credit Unions	Acceptable
22	BT-0022	Barber & Beauty Salons	Acceptable
23	BT-0023	Bath & Bedding Shops	Acceptable
24	BT-0024	Beverage Distributors & Retailers (including Beer, Liquor, Wine)	Preferred
25	BT-0025	Bicycle Sales & Service	Preferred
26	BT-0026	Binderies & Printing Services	Acceptable
27	BT-0027	Boiler & Furnace Installation/Repair	Preferred
28	BT-0028	Bookstores & Magazines	Acceptable
29	BT-0029	Bridal Shops	Acceptable
30	BT-0030	Building Materials & Supplies	Acceptable
31	BT-0031	Business & Management Consultants	Preferred
32	BT-0032	Cable & Telecommunications	Acceptable
33	BT-0033	Camera & Photo Supply Stores	Preferred

index	business_type_id	name	appetite_level
34	BT-0034	Camping & Outdoor Equipment Stores	Acceptable
35	BT-0035	Candy & Confectionery Stores	Acceptable
36	BT-0036	Catering & Food Preparation Services	Acceptable
37	BT-0037	Cellular Phone Sales/Service	Acceptable
38	BT-0038	Cemeteries & Funeral Services	Acceptable
39	BT-0039	Churches & Religious Organizations	Acceptable
40	BT-0040	Clothing & Apparel (Retail & Wholesale)	Preferred
41	BT-0041	Clubs & Recreation Facilities	Acceptable
42	BT-0042	Coffee Shops & Tea Houses	Preferred
43	BT-0043	Computer & Technology Services	Preferred
44	BT-0044	Concrete & Masonry Services	Acceptable
45	BT-0045	Convenience Stores	Preferred
46	BT-0046	Cosmetics & Toiletries	Limited
47	BT-0047	Countertop & Surface Installation	Acceptable
48	BT-0048	Craft & Hobby Stores	Preferred
49	BT-0049	Dairy & Ice Cream Shops	Acceptable
50	BT-0050	Dance, Drama, & Music Schools	Acceptable
51	BT-0051	Day Care & Child Care Centers	Acceptable
52	BT-0052	Delicatessens & Sandwich Shops	Preferred
53	BT-0053	Department & Discount Stores	Acceptable
54	BT-0054	Detective & Security Services	Acceptable
55	BT-0055	Diaper & Linen Services	Preferred
56	BT-0056	Door & Window Installation/Sales	Acceptable
57	BT-0057	Dry Cleaning & Laundry Services	Acceptable
58	BT-0058	Educational & School Supply Stores	Preferred
59	BT-0059	Electrical Equipment & Supplies	Acceptable
60	BT-0060	Electronics Stores & Repair	Preferred
61	BT-0061	Embroidery & Custom Apparel	Preferred
62	BT-0062	Employment Agencies	Acceptable
63	BT-0063	Engineering & Surveying	Limited
64	BT-0064	Fabric & Sewing Stores	Preferred
65	BT-0065	Fast Food & Family Restaurants	Acceptable
66	BT-0066	Financial Planners & Investment Firms	Acceptable
67	BT-0067	Floor Covering & Carpet Installation	Acceptable
68	BT-0068	Florists	Acceptable

index	business_type_id	name	appetite_level
69	BT-0069	Food & Grocery Stores	Preferred
70	BT-0070	Dessert Shops	Acceptable
71	BT-0071	Fruit & Vegetable Markets	Acceptable
72	BT-0072	Furniture Stores & Installation	Limited
73	BT-0073	Garden & Landscaping Services	Acceptable
74	BT-0074	General Contractors & Builders	Limited
75	BT-0075	Gift & Souvenir Shops	Preferred
76	BT-0076	Glass & Window Services	Acceptable
77	BT-0077	Golf & Sporting Equipment Stores	Preferred
78	BT-0078	Graphic Design & Commercial Artists	Acceptable
79	BT-0079	Hardware & Home Improvement Stores	Acceptable
80	BT-0080	Health Food & Vitamin Stores	Acceptable
81	BT-0081	Heating & Refrigeration Services	Preferred
82	BT-0082	Hobby & Model Shops	Preferred
83	BT-0083	Hotels, Motels, Bed & Breakfasts	Preferred
84	BT-0084	Interior Decorating & Design	Acceptable
85	BT-0085	Janitorial & Cleaning Services	Acceptable
86	BT-0086	Jewelry & Watch Stores	Preferred
87	BT-0087	Kitchen & Home Accessories Stores	Acceptable
88	BT-0088	Laundromats & Laundry Services	Acceptable
89	BT-0089	Leather Goods & Luggage Stores	Preferred
90	BT-0090	Libraries & Museums	Acceptable
91	BT-0091	Lighting Fixtures & Supplies	Preferred
92	BT-0092	Locksmiths	Preferred
93	BT-0093	Mail & Packaging Services	Acceptable
94	BT-0094	Medical & Dental Offices	Acceptable
95	BT-0095	Medical & Hospital Supply Stores	Acceptable
96	BT-0096	Monument & Tombstone Sales	Acceptable
97	BT-0097	Musical Instrument Sales & Repair	Acceptable
98	BT-0098	Office Supplies & Equipment	Acceptable
99	BT-0099	Optical Goods & Services	Acceptable
100	BT-0100	Paint & Wallpaper Stores	Acceptable
101	BT-0101	Pet Stores & Pet Grooming	Preferred
102	BT-0102	Photography Studios & Supplies	Preferred
103	BT-0103	Plumbing & HVAC Contractors	Preferred

index	business_type_id	name	appetite_level
104	BT-0104	Post Office & Shipping Centers	Limited
105	BT-0105	Printing & Copying Services	Acceptable
106	BT-0106	Real Estate Agencies	Acceptable
107	BT-0107	Restaurants (Various Types: Full Service, Limited Service, Fast Food)	Preferred
108	BT-0108	Self Storage Facilities	Acceptable
109	BT-0109	Shoe Stores & Repair	Preferred
110	BT-0110	Shopping Centers & Strip Malls	Preferred
111	BT-0111	Sporting Goods Stores	Acceptable
112	BT-0112	Stationery & Paper Products	Acceptable
113	BT-0113	Supermarkets & Grocery Stores	Preferred
114	BT-0114	Tailors & Dressmakers	Preferred
115	BT-0115	Tax Preparation & Accounting	Acceptable
116	BT-0116	Tire & Automotive Centers	Preferred
117	BT-0117	Toy Stores	Preferred
118	BT-0118	Travel Agencies	Acceptable
119	BT-0119	Trophy & Awards Shops	Acceptable
120	BT-0120	Upholstery Services	Acceptable
121	BT-0121	Vacuum Cleaner Sales & Service	Acceptable
122	BT-0122	Variety & General Merchandise Stores	Preferred
123	BT-0123	Video & Media Stores	Preferred
124	BT-0124	Web Design & Online Services	Acceptable
125	BT-0125	Wedding Services & Chapels	Limited
126	BT-0126	Window Treatments & Blinds	Acceptable
127	BT-0127	Woodworking & Carpentry	Limited

Section 3. Business-Specific Guidelines

Accounting & Financial Services (BT-0001)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the applicant provides financial planning or investment advice.

Decline the application if the applicant mentions financial planning or investment advice in their operations description, as these services fall outside standard accounting practices and can elevate regulatory and liability risks.

Decline if the applicant serves clients with a known history of tax evasion or fraud.

If the applicant has clients with a documented history of tax evasion or fraud, decline the application due to the significant compliance and reputational risks associated with such clients.

Decline if the applicant serves clients with significant international operations.

Decline the application if the applicant's client base includes those with substantial international operations, as this can complicate regulatory compliance and increase legal risks.

Decline if the applicant operates without professional liability insurance.

Confirm that the applicant has professional liability insurance; if they do not, decline the application to mitigate financial risks related to errors or omissions in their services.

Decline if the applicant has not conducted regular audits of their accounting practices.

If the applicant has not conducted regular audits of their accounting practices, decline the application, as this lack of oversight may indicate potential operational risks.

Decline if the applicant allows staff without appropriate training to perform accounting tasks.

Decline the application if the applicant permits untrained staff to handle accounting tasks, as this can lead to compliance issues and increased error rates.

Actuarial & Appraisal Services (BT-0002)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the firm has unresolved regulatory investigations.

Decline any application from a firm that has unresolved regulatory investigations, as these indicate potential compliance risks that could lead to future claims. Verify this by checking public records and industry databases for any ongoing investigations.

Decline if the firm lacks documented risk management and incident response plans.

A firm should be declined if it does not have documented risk management and incident response plans, as their absence significantly increases exposure to operational and cyber risks. Ensure these documents are formalized and available.

Decline if the firm does not provide employee training on compliance and data security.

Decline firms that do not conduct regular employee training on compliance and data security, as this lack of training can lead to increased risks of errors and data breaches. Confirm that such training programs are in place.

Decline if the firm operates in shared environments without access controls.

If a firm operates in shared environments without proper access controls, it should be declined due to the heightened risk of data breaches and unauthorized access to sensitive information. Verify the implementation of access controls in such environments.

Decline if the firm has a significant history of claims related to errors or omissions.

A firm with a significant history of claims related to errors or omissions should be declined, as this history can predict future risks and suggest inadequate operational controls. Review the claims history for any notable claims.

Decline if the firm does not maintain minimum professional liability insurance coverage.

Decline any firm that does not maintain the required minimum professional liability insurance coverage, as lacking adequate insurance poses a significant risk to mitigate the financial impact of potential claims and breaches.

Advertising Agencies (BT-0003)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the agency has a history of repeated regulatory violations or legal actions related to false or misleading advertising.

An agency should be declined if it has a documented history of regulatory violations or legal actions concerning false or misleading advertising, as this indicates a high risk of future claims and potential penalties that could impact the insurer's liability.

Decline if the agency routinely makes unsubstantiated or high-risk claims in advertisements.

Decline the agency if it is found to routinely make unsubstantiated or high-risk claims in its advertisements, as such practices significantly increase the likelihood of misrepresentation claims or regulatory violations.

Decline if the agency has no formal contracts or documentation outlining project scope and deliverables.

An agency should be declined if it lacks formal contracts or documentation that clearly outline project scope and deliverables, as this absence can lead to disputes and increase the risk of claims.

Decline if the agency does not have cyber liability insurance.

Decline the agency if it does not carry cyber liability insurance, as this absence exposes it to substantial risks related to data breaches and cyber incidents, which could result in costly claims.

Decline if the agency stores sensitive client data on unsecured or unencrypted platforms.

An agency should be declined if it stores sensitive client data on unsecured or unencrypted platforms, as this practice significantly raises the risk of data breaches and associated liabilities.

Decline if the agency has significant prior claims related to copyright infringement or unauthorized use of creative assets.

Decline the agency if it has a significant history of prior claims related to copyright infringement or unauthorized use of creative assets, as this pattern indicates inadequate risk management practices that could lead to future liabilities.

Air Conditioning & Heating (Sales/Service/Manufacturing) (BT-0004)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business performs HVAC work in hazardous industrial environments.

Decline coverage if the business engages in HVAC work within hazardous industrial environments, as these settings pose significant risks of severe claims and regulatory violations due to potential exposure to harmful substances.

Decline if the business employs unlicensed or uncertified technicians.

Decline coverage if the business employs technicians who are unlicensed or uncertified, as this increases liability exposure and may lead to regulatory penalties that adversely affect the business's risk profile.

Decline if the business has more than three general liability or workers’ compensation claims in the past three years.

Decline coverage if the business has filed more than three general liability or workers' compensation claims in the past three years, as this indicates poor risk management practices and a higher likelihood of future losses.

Decline if the business lacks a written safety program.

Decline coverage if the business does not have a documented safety program, as its absence suggests a lack of commitment to safety practices and increases the risk of compliance issues.

Decline if the business has unresolved OSHA violations.

Decline coverage if the business has unresolved OSHA violations, as these indicate ongoing compliance issues that can lead to increased risk and potential liabilities.

Decline if the business performs HVAC work on high-rise buildings without specialized safety controls.

Decline coverage if the business performs HVAC work on high-rise buildings without implementing specialized safety controls, as this work involves unique risks that could result in severe accidents and claims.

Alarm System Installation (BT-0005)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the applicant cannot provide any records of alarm system installation, maintenance, or monitoring.

Decline the application if the applicant fails to present documented records of alarm system installation, maintenance, or monitoring. Such documentation is essential for assessing the reliability and quality of their services.

Decline if the applicant does not conduct or document fire safety training for staff.

Decline the application if the applicant lacks a documented fire safety training program for all staff members. This training is crucial for preparing employees to respond effectively in emergencies.

Decline if the applicant lacks a written emergency response plan or any documentation of fire drills.

Decline the application if the applicant does not have a written emergency response plan or records of conducted fire drills. The absence of these documents indicates a lack of preparedness for emergencies.

Decline if the applicant has a history of repeated major claims or losses related to fire, theft, or system failure.

Decline the application if the applicant has a history of repeated major claims, especially those related to fire, theft, or system failures. A pattern of significant claims suggests unresolved risk issues.

Decline if the applicant does not maintain protective safeguard endorsements for installed alarm systems.

Decline the application if the applicant does not have protective safeguard endorsements for their installed alarm systems. These endorsements are critical for ensuring the effectiveness of the systems.

Decline if the applicant cannot provide documentation of regular inspections and testing of fire safety equipment.

Decline the application if the applicant cannot provide documentation for regular inspections and testing of fire safety equipment. This documentation is vital for ensuring that the equipment meets safety standards.

Ambulance & Emergency Services (BT-0006)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the operations description indicates non-emergency transport as a primary service.

If the operations description primarily involves non-emergency transport, decline the application as this increases liability and falls outside the intended scope of emergency medical services.

Decline if the operations description reveals transport to non-hospital destinations.

Decline the application if the operations description mentions transporting patients to non-hospital destinations, as this practice heightens liability and does not comply with emergency service coverage requirements.

Decline if the operations description indicates the use of uncertified personnel.

Review the operations description for any indication of uncertified personnel; if found, decline the application due to the significant increase in liability and regulatory risk associated with unqualified staff.

Decline if the structured field indicates the absence of a formal quality assurance program.

If the structured field shows a lack of a formal quality assurance program, decline the application, as this absence indicates insufficient risk management and oversight critical for service quality.

Decline if the structured field indicates unresolved regulatory violations.

Investigate the structured field for unresolved regulatory violations; if any are present, decline the application due to the associated ongoing risks and poor compliance history.

Decline if the structured field indicates that all vehicles do not meet maintenance standards.

If the structured field indicates that not all vehicles meet maintenance standards, decline the application, as inadequate vehicle maintenance poses safety risks for patients and staff.

Animal & Veterinary Services (BT-0007)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there are major malpractice claims in the past five years.

Decline the application if there are any major malpractice claims reported in the last five years, as these indicate a pattern of negligence that could lead to significant financial exposure for the insurer.

Decline if the facility lacks secure animal containment areas.

Decline the application if the facility does not have secure animal containment areas, as this increases the risk of animal escapes and potential liability issues.

Decline if operations do not have documented waste handling protocols.

Decline the application if there are no documented waste handling protocols, as this is essential for preventing health hazards and ensuring compliance with regulatory standards.

Decline if the description of operations includes experimental treatments.

Decline the application if the description of operations mentions experimental treatments, as these practices pose significant risks to animal welfare and can lead to legal challenges.

Decline if the description of operations indicates unsanitary conditions.

Decline the application if the description of operations references unsanitary conditions, as these can lead to health code violations and pose risks to both animal and human health.

Decline if the description of operations mentions a history of animal escapes.

Decline the application if there is a history of animal escapes mentioned in the description of operations, as this indicates inadequate safety measures and increases liability for the business.

Answering & Telemarketing Services (BT-0008)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations involve on-site spa or bodywork services.

Decline applications where the operations description includes on-site spa or bodywork services, as these activities present different risk profiles and liability exposures compared to standard telemarketing services.

Decline if operations involve educational or instructional services.

Decline applications that mention educational or instructional services in their operations description, as these significantly alter the risk landscape and may introduce liability issues related to teaching or training.

Decline if the business location lacks monitored alarm systems.

Decline applications if the business location does not have monitored alarm systems, as adequate security is essential to mitigate theft and vandalism risks, particularly for locations with high-value electronics.

Decline if automated communications do not have documented consumer opt-in.

Decline applications that lack documented consumer opt-in for automated communications, as regulatory compliance and consumer protection laws require transparency and consent for such interactions.

Decline if operations include activities that materially alter the risk profile.

Decline applications that include in-person sales or field marketing activities, as these introduce unanticipated liability exposures that are not typical for telemarketing services.

Decline if the business has a history of repeated theft or data breaches.

Decline applications with a history of multiple theft or data breach incidents, as unresolved security issues raise significant concerns about the business's risk management practices.

Antique & Collectible Stores (BT-0009)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if inventory is stored in basements or other high-risk areas.

Decline coverage if the inventory is stored in basements or similar high-risk areas, as these locations are prone to flooding and temperature fluctuations that can damage valuable items. Ensure the applicant provides a clear description of their storage locations to accurately assess risk.

Decline if the store does not maintain detailed inventory records.

Decline coverage if the store fails to maintain detailed inventory records, as these are essential for effective risk management and claims processing. Verify that the applicant's operations description includes references to their inventory management practices.

Decline if the store accepts consignment items without full documentation.

Decline coverage if the store accepts consignment items without proper documentation, as this increases the risk of loss due to unknown provenance. Ensure the applicant can provide evidence of their consignment policies and documentation practices.

Decline if the store lacks a climate control system.

Decline coverage if the store does not have a climate control system, as antique and collectible items require stable temperature and humidity to prevent damage. Confirm the presence of a climate control system through the structured field.

Decline if the store has a history of multiple significant insurance claims.

Decline coverage if the store has a history of multiple significant insurance claims exceeding $10,000 in the past five years, as this indicates a higher risk profile. Review the claims history to identify any patterns of frequent claims.

Decline if the store is located in a high-risk geographic area without mitigation measures.

Decline coverage if the store is situated in a high-risk geographic area for environmental hazards and lacks adequate mitigation measures, as this significantly elevates the risk of loss. Verify any protective measures the store may have implemented.

Appliance Sales & Repair (BT-0010)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if operations description indicates more than 25% of activities are off-site.

If the operations description reveals that more than 25% of activities occur off-site, decline the application. A high percentage of off-site operations can significantly elevate liability and auto risk exposure, which may not be sufficiently covered under standard policies.

Decline if operations description reveals engagement in appliance recycling or hazardous material disposal.

Decline the application if the operations description includes any mention of appliance recycling or hazardous material disposal. These activities carry substantial environmental and regulatory risks that can lead to increased liability.

Decline if operations description shows a history of frequent or unresolved claims.

If the claims history indicates a pattern of frequent or unresolved claims, decline the application. A poor claims history may suggest ongoing operational or safety issues that could result in future claims.

Decline if no centrally monitored alarm system is in place.

Decline the application if there is no centrally monitored alarm system installed. The lack of such a system raises the risk of theft or vandalism, particularly for businesses with valuable inventory.

Decline if the electrical system has not been upgraded in the last 10 years.

If the electrical system has not been upgraded in the last ten years, decline the application. An outdated electrical system poses significant fire and electrical hazards, increasing the risk of claims.

Decline if inventory is stored in unsecured areas without restricted access.

Decline the application if inventory is stored in unsecured areas without restricted access. Unsecured storage increases the risk of theft and unauthorized access, potentially leading to significant financial losses.

Army/Navy/Military Surplus Stores (BT-0011)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if inventory is sourced from foreign military entities.

Decline the application if the inventory is sourced from foreign military entities, as this poses national security and regulatory compliance risks. Verify the source of inventory by reviewing the applicant's operations description for any references to such entities.

Decline if operations include the sale of firearms or explosives without proper permits.

If the operations description mentions firearms or explosives, decline the application unless the applicant can provide the necessary permits for their sale. The absence of these permits indicates significant legal liability and compliance issues.

Decline if there are no documented inventory management practices.

Review the Inventory Management section for adequate documentation of inventory practices; if none exists, decline the application due to increased risks of loss and valuation errors that can affect the business's overall risk profile.

Decline if the business operates without any fire protection systems.

Examine the Crime & Safety section for fire protection systems; if the Sprinklers Y/N field indicates 'N', decline the application due to significant property risk from potential fire damage without adequate protection.

Decline if the business has a history of regulatory violations.

Investigate the Prior Policy/Loss History section for any regulatory violations; a 'Yes' response indicates previous compliance issues, warranting a decline due to unacceptable risk for underwriting.

Decline if high-value inventory is stored in unsecured areas.

Assess the Premises Description section for security measures; if the High-Value Inventory Security field indicates 'Unsecured', decline the application due to significantly increased risk of theft and loss exposure.

Art Galleries & Art Supply Stores (BT-0012)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if annual professional inventory appraisals are not maintained.

Decline coverage if the business does not conduct annual professional appraisals of its inventory, as this is essential for accurate valuation and appropriate insurance coverage. Without these appraisals, the risk of underinsurance or overinsurance increases, potentially affecting claims during a loss.

Decline if there are no documented inventory management practices.

Decline coverage if the business lacks documented inventory management practices that detail how inventory is tracked, stored, and managed. The absence of these practices significantly raises the risk of inventory loss or mismanagement.

Decline if the business operates in a facility with known structural deficiencies.

Decline coverage if the facility has known structural deficiencies that could jeopardize inventory and safety. Structural issues can lead to damage during adverse events, increasing the business's liability.

Decline if the business does not have enhanced security measures for high-value inventory.

Decline coverage if the business has not implemented enhanced security measures for high-value inventory, such as alarm systems and surveillance cameras. Adequate security is crucial to mitigate risks of theft and vandalism.

Decline if there is a history of regulatory violations.

Decline coverage if the business has a history of regulatory violations, as this indicates ongoing risk and potential non-compliance with industry standards. Such a history can lead to increased liability and operational risks.

Decline if there is no regular staff training on safety and loss prevention.

Decline coverage if the business does not conduct regular staff training on safety protocols and loss prevention strategies, as this training is vital for effective risk management and ensuring a safe environment.

Artificial Flowers & Floral Supplies (BT-0013)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if operations involve high-risk event installations.

Decline applications if the operations description includes high-risk event installations, such as large-scale events or those requiring specialized equipment, as these significantly increase liability exposure.

Decline if more than 50% of revenue comes from online sales.

Applications should be declined if more than 50% of revenue is derived from online sales, indicating a lack of physical retail presence necessary for controlled inventory and fire protection.

Decline if there is no established fire protection system.

Confirm the presence of an established fire protection system; decline applications if there is no such system, as this poses a significant fire hazard in environments handling combustible materials.

Decline if operations include manufacturing artificial flowers on-site.

Decline applications if the operations description indicates on-site manufacturing of artificial flowers, as this introduces hazardous exposures not typical for retail or wholesale operations.

Decline if there is a history of multiple or severe insurance claims in the past five years.

Review the claims history and decline applications if there are multiple or severe claims reported in the past five years, as this suggests unresolved risk management issues.

Decline if storage areas for bulk inventory are unsecured or non-climate-controlled.

Investigate storage conditions and decline applications if bulk inventory storage areas are found to be unsecured or non-climate-controlled, as this increases the risk of spoilage and fire hazards.

Artists & Craft Studios (BT-0014)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the studio engages in hazardous artistic activities.

Decline coverage if the studio's operations include hazardous activities such as glassblowing, welding, or large-scale woodworking, as these present significant risks of fire, injury, and property damage that exceed acceptable coverage thresholds.

Decline if the studio uses or stores highly toxic, flammable, or volatile chemicals.

Coverage should be declined if the studio uses or stores highly toxic, flammable, or volatile chemicals, as these materials greatly increase fire and health hazards, necessitating strict handling and storage protocols.

Decline if the studio has a history of significant fire, theft, or safety violations.

If the studio has a history of significant incidents related to fire, theft, or safety violations, decline coverage due to the ongoing risks and poor risk management practices indicated by such a history.

Decline if the studio lacks comprehensive fire detection or suppression systems.

Decline coverage if the studio does not have comprehensive fire detection or suppression systems installed, as their absence significantly increases risks to personnel and property, particularly in environments with flammable materials.

Decline if the studio operates in residential spaces without proper permits.

Coverage should be declined if the studio operates in residential spaces without the necessary permits, as this can lead to regulatory actions and potential insurance denials due to non-compliance with local zoning laws.

Decline if the studio does not implement robust cybersecurity measures.

If the studio lacks robust cybersecurity measures, decline coverage, as inadequate protections expose the studio to significant risks of data breaches and financial losses in the current digital landscape.

Asphalt & Paving Services (BT-0015)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of frequent or severe employee injury claims.

Decline the application if there is a documented history of frequent or severe employee injury claims, as this indicates a higher risk associated with the operations of heavy equipment. A pattern of such claims suggests inadequate safety measures and can lead to increased insurance costs and liabilities.

Decline if the operations include paving or repairs at commercial airports.

Decline the application if the operations involve paving or repairs at commercial airports, as these projects are subject to stricter safety regulations and higher liability exposures. This significantly increases the risk profile of the business.

Decline if there are unresolved environmental violations.

Decline the application if there are any unresolved environmental violations, as non-compliance with regulations can lead to legal and financial repercussions. Ensuring all environmental issues are resolved is essential for reducing potential liabilities.

Decline if business interruption coverage is not maintained.

Decline the application if the applicant does not maintain business interruption coverage, as this exposes the business to significant revenue loss during project delays due to the seasonal nature of paving operations. Adequate coverage is crucial for financial stability.

Decline if subcontracted work is not fully insured and documented.

Decline the application if subcontracted work is not fully insured and documented, as uninsured subcontractors pose a liability risk to the primary business. Proper documentation is necessary to mitigate this risk and ensure compliance with industry standards.

Decline if the applicant has a pattern of third-party property damage claims above industry benchmarks.

Decline the application if the applicant has a history of third-party property damage claims that exceed industry benchmarks, as this indicates poor risk management practices and a higher likelihood of future claims. Understanding this history is vital for evaluating the overall risk associated with the business.

Assembly & Packaging Services (BT-0016)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if operations include unauthorized relabeling or repackaging of third-party products.

Decline any application where the operations involve unauthorized relabeling or repackaging of third-party products, as these practices can lead to serious regulatory and legal issues that may damage the company's reputation and increase liability.

Decline if the facility lacks central alarm systems or video surveillance.

Decline applications for facilities that do not have central alarm systems or video surveillance in place, as the absence of these security measures significantly heightens the risk of theft and liability.

Decline if the business has a history of regulatory violations or product recalls.

Decline any business with a documented history of regulatory violations or product recalls, as this indicates ongoing compliance challenges and operational risks that could lead to future liabilities.

Decline if the facility has poor inventory controls or a history of significant inventory losses.

Decline applications for facilities that exhibit poor inventory controls or have a history of significant inventory losses, as these issues can lead to increased errors and insurance claims, posing a risk to the insurer.

Decline if the business does not provide regular staff training on quality control and safety.

Decline any business that does not implement regular staff training programs on quality control and safety, as a lack of training can result in increased errors and accidents, adversely affecting operations and insurance risk.

Decline if the facility does not have documented emergency response and disaster recovery plans.

Decline applications for facilities that lack documented emergency response and disaster recovery plans, as these plans are crucial for minimizing losses and ensuring business continuity in the event of an incident.

Audio & Visual Equipment Sales/Service (BT-0017)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations involve the sale or rental of pirated or unlicensed A/V media or equipment.

Decline any business that engages in the sale or rental of pirated or unlicensed audio and visual media or equipment, as this significantly increases liability and regulatory risks. Ensure that the business complies with copyright laws and possesses the necessary licenses for all products offered.

Decline if the business has no inventory management or loss prevention systems.

Decline businesses that lack inventory management or loss prevention systems, as this absence poses a high risk of shrinkage and financial loss. Confirm that the business has established protocols to effectively manage and secure its inventory.

Decline if the business is involved in large-scale event production or pyrotechnics.

Decline any business involved in large-scale event production or the use of pyrotechnics, as these activities exceed the acceptable risk threshold and raise significant liability and safety concerns. Ensure that the business's operations align with the underwriting appetite.

Decline if the business operates from a location without a central station alarm.

Decline businesses that do not have a central station alarm system, as operating without such security increases the risk of theft and property loss. Verify that the business has adequate measures in place to protect its assets.

Decline if the business has less than three years of experience at the insured location.

Decline businesses that have been operating at their current location for less than three years, as insufficient operational history can lead to a higher risk of claims. Ensure that the business demonstrates a proven track record of stability and reliability.

Decline if the business does not insure contents at Actual Cash Value (ACV).

Decline any business that does not insure its contents at Actual Cash Value (ACV), as this misalignment can result in inadequate protection in the event of a loss. Confirm that the business understands the implications of its coverage choices.

Auto Parts & Accessories (BT-0018)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business engages in racing modifications.

Decline any business that engages in racing modifications, as these activities significantly increase safety and liability risks beyond standard automotive operations. Ensure that the business strictly focuses on conventional auto parts and accessories without any racing-related services.

Decline if the business operates 24 hours a day.

Decline businesses that operate 24 hours a day due to increased exposure to theft, accidents, and insufficient supervision, which elevate the risk profile. Confirm that the business operates during standard hours to mitigate these risks.

Decline if the business is a self-service automobile repair shop.

Decline any business that allows customers to perform their own repairs, as self-service operations significantly heighten the risk of injury and liability. Ensure that the business provides full-service repairs instead.

Decline if the business has unresolved OSHA violations.

Decline businesses with unresolved OSHA violations, as these indicate ongoing safety issues that pose unacceptable risks to employees and customers. It is crucial to ensure compliance with safety regulations to minimize liability.

Decline if the business involves salvage, dismantling, or recycling of vehicles.

Decline any business that engages in salvage, dismantling, or recycling activities, as these operations carry higher risks related to fire, environmental hazards, and liability. Confirm that the business focuses solely on parts and accessories without involvement in these higher-risk activities.

Decline if the business lacks documented fire protection measures.

Decline businesses that lack documented fire protection measures, as the absence of such protocols is critical given the presence of flammable materials in an auto parts and accessories business. Ensure that adequate fire safety measures are in place to mitigate risks.

Auto Services & Repair (including body shops) (BT-0019)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business operates 24 hours.

If the business operates 24 hours, it should be declined due to increased security risks and higher liability exposure associated with incidents occurring during off-peak hours. Verifying the hours of operation is essential for assessing the risk profile.

Decline if the business description includes emergency or contract wrecker/towing services.

Decline the application if the business description indicates that emergency or contract wrecker/towing services are part of its operations, as these services introduce significant uncontrolled liability and accident exposures.

Decline if brake work is listed as a primary service.

If brake work is identified as a primary service in the application, the business should be declined due to the higher liability and claim frequency associated with such services.

Decline if the business has inadequate environmental controls for hazardous waste.

Decline the application if the business lacks adequate environmental controls for hazardous waste management, as non-compliance can lead to significant penalties and pollution liability.

Decline if the facility has significant overnight vehicle storage without secure fencing.

If the facility has significant overnight vehicle storage without secure fencing, it should be declined due to the increased risk of theft and vandalism that can lead to financial losses.

Decline if the business services motorcycles or specialty vehicles as a primary operation.

The application should be declined if servicing motorcycles or specialty vehicles is a primary operation, as these services present higher risks that complicate underwriting.

Bakeries & Bagel Shops (BT-0020)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations lack documented food safety programs.

Decline if the bakery does not have a documented food safety program that includes procedures for food handling, storage, and preparation. This documentation is essential for compliance with health regulations and to reduce the risk of foodborne illnesses.

Decline if operations do not maintain proper sanitation and refrigeration controls.

Decline if the bakery fails to maintain proper sanitation practices and refrigeration controls, as these are critical for preventing spoilage and foodborne illnesses. Documentation should reflect adherence to health standards through maintenance logs and sanitation checklists.

Decline if there is no separation between food prep and customer areas.

Decline if the bakery does not have a clear separation between food preparation and customer areas, as this is vital for minimizing contamination risks. Documentation should include operational layouts that illustrate this separation.

Decline if there are no automatic extinguishing systems over cooking equipment.

Decline if the bakery lacks automatic extinguishing systems over cooking equipment, which are essential for mitigating fire risks associated with cooking. Documentation should include installation certificates and maintenance records for these systems.

Decline if there are no monitored fire and burglar alarm systems.

Decline if the bakery does not have monitored fire and burglar alarm systems, as these are crucial for protecting against fire hazards and theft. Documentation should include monitoring service agreements and installation certificates.

Decline if there are unresolved or repeated health code violations.

Decline if the bakery has unresolved or repeated health code violations, as these indicate non-compliance with health regulations and increase operational risks. Documentation should include health inspection reports and corrective action plans.

Banks & Credit Unions (BT-0021)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the institution has unresolved compliance issues or pending regulatory investigations.

Decline any application from an institution with unresolved compliance issues or pending regulatory investigations, as these indicate potential operational risks. Review regulatory filings and compliance reports to confirm adherence to all regulatory requirements.

Decline if the institution does not conduct background checks on employees handling cash or sensitive information.

Decline applications from institutions that do not conduct background checks on employees responsible for cash or sensitive information, as this increases the risk of internal theft and fraud. Verify their employee screening policies through human resources documentation.

Decline if the institution has a history of data breaches or cyber incidents in the past five years.

Decline any institution with a history of data breaches or cyber incidents within the last five years, as this suggests inadequate cybersecurity measures. Investigate incident reports and public disclosures to assess their cybersecurity history.

Decline if the facility lacks secure vaults or has inadequate physical security measures.

Decline applications from facilities that lack secure vaults or have inadequate physical security measures, as these conditions increase the risk of theft. Review security audits and facility inspection reports to evaluate their security protocols.

Decline if the institution has annual gross sales exceeding $1,000,000 from non-banking retail operations.

Decline institutions with annual gross sales exceeding $1,000,000 from non-banking retail operations, as this may indicate a business model that falls outside the acceptable risk appetite. Review financial statements and sales reports to verify the source of their gross sales.

Decline if the institution has a poor loss history, including multiple claims or losses exceeding $10,000 in the past three years.

Decline applications from institutions with a poor loss history, characterized by multiple claims or losses exceeding $10,000 in the past three years, as this indicates ongoing operational issues. Examine loss run reports and claims documentation for patterns that may pose future risks.

Barber & Beauty Salons (BT-0022)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the salon performs electrolysis, hair implanting, or dyeing eyelashes.

Decline coverage if the salon offers services such as electrolysis, hair implanting, or eyelash dyeing, as these activities are excluded under specific underwriting guidelines. Verify the services listed in the operations section to ensure compliance.

Decline if the salon operates without required state or local licenses for staff or business.

Coverage should be declined if the salon lacks valid state or local licenses for its operations or staff. Confirm that all necessary licenses are present and valid to mitigate professional liability and regulatory risks.

Decline if the salon has unlicensed or uncertified staff performing services.

If the application indicates that the salon employs unlicensed or uncertified staff, decline coverage due to the heightened risk of professional liability and regulatory non-compliance. Ensure all personnel are properly licensed to manage risk effectively.

Decline if the salon operates in a residential or non-commercial space.

Decline coverage if the salon is located in a residential area, as this suggests inadequate commercial oversight and increased liability risks. Verify the nature of the business premises to assess risk appropriately.

Decline if the salon has a history of frequent or severe liability claims.

If the salon has reported more than two liability claims in the past five years, decline coverage due to concerns about poor risk management practices and potential future liabilities. Review the claims history section carefully.

Decline if the salon exceeds 20 styling stations or treatment rooms.

Coverage should be declined if the salon operates with more than 20 styling stations or treatment rooms, as this increases operational complexity and risk. Assess the number of stations indicated in the application to ensure manageable risk levels.

Bath & Bedding Shops (BT-0023)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there are unexplained inventory shortages.

If the business has experienced repeated, unexplained inventory shortages in the past two years, it should be declined. This pattern indicates poor inventory management practices that can lead to increased theft and financial losses, necessitating a thorough review of inventory records.

Decline if regular inventory audits are not conducted.

Decline the business if it does not conduct regular inventory audits, as these audits are crucial for identifying discrepancies and ensuring accurate inventory levels. A lack of such audits may reflect negligence in inventory management, increasing the risk of theft.

Decline if CCTV surveillance is absent.

The absence of CCTV surveillance in sales and storage areas warrants a decline, as these systems are essential for deterring theft and providing evidence in case of incidents. Without CCTV, the business is more vulnerable to theft and loss.

Decline if fire safety systems are not functional.

Decline the business if it lacks functional fire suppression systems or fire alarms, as these are critical for preventing catastrophic losses due to the flammability of bedding materials. The absence of effective fire safety measures poses a significant risk.

Decline if the business imports products directly.

If the business directly imports products for retail sale, it should be declined due to the complexities this introduces in supply chain verification and the increased risks related to quality control and regulatory compliance.

Decline if employee training on theft prevention is lacking.

Decline the business if it does not provide employee training on theft prevention or inventory control, as proper training is essential for managing inventory effectively and preventing theft. A lack of training can lead to increased losses and operational inefficiencies.

Beverage Distributors & Retailers (including Beer, Liquor, Wine) (BT-0024)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if there is a history of regulatory violations.

Decline any business that has a documented history of repeated regulatory violations or unresolved compliance issues, as this indicates a systemic lack of adherence to laws and regulations, significantly increasing the risk profile for underwriting.

Decline if the business sells repackaged or private-label alcoholic beverages.

Decline businesses that describe their operations as selling repackaged or private-label alcoholic beverages, as this complicates liability in the event of product issues and raises concerns about product traceability.

Decline if the business lacks required alcohol licenses.

Decline any business that operates without the necessary federal, state, or local alcohol licenses, as this indicates serious regulatory non-compliance and poses unacceptable risks for beverage distributors.

Decline if inventory exceeds $500,000 without a central alarm system.

Decline businesses that have inventory valued over $500,000 and lack a central alarm system, as this significantly increases the risk of theft and indicates inadequate security measures.

Decline if over 10% of revenue comes from incidental repair operations.

Decline businesses that derive more than 10% of their revenue from incidental repair operations, as this suggests engagement in non-core activities that elevate exposure to atypical risks.

Decline if over 75% of revenue is from online sales.

Decline businesses that generate more than 75% of their revenue from online sales, as this may introduce unique e-commerce risks that could alter the overall risk profile and exceed acceptable exposure levels.

Bicycle Sales & Service (BT-0025)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business offers bicycle rental or loaner programs.

Decline any business that offers bicycle rental or loaner programs, as these activities significantly increase liability exposure and the risk of loss or damage to bicycles. Ensure that the business's primary operations align with the preferred appetite level and do not include these high-risk activities.

Decline if the business operates in high-crime or high-traffic urban areas without adequate security measures.

Decline businesses located in high-crime or high-traffic urban areas if they lack adequate security measures, as these environments pose a higher risk for theft, injury, and property damage. It is essential to confirm that sufficient security protocols are in place to mitigate these risks.

Decline if the business regularly hosts or organizes off-site cycling events without comprehensive risk management.

Decline any business that regularly hosts or organizes off-site cycling events without a comprehensive risk management plan, as uncontrolled events can lead to increased liability and complicate risk assessments. Ensure that the business has established protocols to manage potential risks associated with these activities.

Decline if the business does not have a physical storefront.

Decline businesses that do not have a physical storefront, as this can complicate oversight and increase risk, indicating a potentially unstable business model. It is important to ensure that the business has a tangible presence to facilitate better risk management.

Decline if the business fails to maintain adequate liability insurance coverage.

Decline any business that does not maintain adequate liability insurance coverage, as insufficient protection against claims arising from accidents, injuries, or defective products poses significant financial risks. Verify that the business has the necessary coverage to mitigate these liabilities.

Decline if the business does not comply with local, state, or federal licensing regulations.

Decline businesses that fail to comply with local, state, or federal licensing regulations, as non-compliance can lead to legal issues and increased risk exposure. It is crucial to verify that the business possesses all necessary licenses to operate legally and safely.

Binderies & Printing Services (BT-0026)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations involve publishing activities.

If the business description indicates any involvement in publishing activities, decline the application, as publishing introduces unique risks that are not typically covered under standard printing and binding services.

Decline if operations utilize solvent-based inks indoors without compliant ventilation.

Decline the application if the operations description reveals the use of solvent-based inks indoors without compliant ventilation, as this poses serious fire hazards and health risks.

Decline if there are no documented quality control processes.

If the operations description lacks documented quality control processes, decline the application, as this indicates a higher risk of operational failures and disqualifies the business from coverage related to printer’s errors and omissions.

Decline if the facility lacks compliant fire safety systems.

Assess the fire safety systems in the premises description; if compliant systems are absent, decline the application due to the flammable nature of materials used in printing.

Decline if there is no documented risk management strategy.

If there is no documented risk management strategy present in the documentation field, decline the application, as this suggests insufficient risk mitigation practices that could lead to increased claims.

Decline if staff operating specialized equipment are untrained.

Verify the staff training field; if it shows that personnel operating specialized equipment are untrained, decline the application due to the significant risk of accidents and operational errors.

Boiler & Furnace Installation/Repair (BT-0027)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if work involves demolition or structural alterations.

Decline any projects that involve demolition or structural alterations, as these activities significantly increase risk exposure beyond the preferred appetite level. Always verify the operations description for relevant mentions to ensure alignment with the intended risk profile.

Decline if handling or removal of hazardous materials is disclosed.

If the operations description includes handling or removal of hazardous materials such as asbestos or lead paint, decline the project. These activities require specialized training and licensing, posing substantial health and liability risks.

Decline if operations include installation in high-hazard environments.

Projects that involve installation in high-hazard environments, such as industrial or manufacturing settings, should be declined. These environments are associated with unacceptable risk exposures for the preferred appetite.

Decline if the business operates without current OSHA training for employees.

Ensure that all employees have current OSHA training; if not, decline the business. Lack of proper training can lead to increased workplace injuries and non-compliance with safety regulations.

Decline if subcontractors do not carry required insurance.

Confirm that all subcontractors possess the necessary insurance coverage; if they do not, decline the project. This protects the primary business from potential liabilities arising from subcontractor actions.

Decline if the claims history reflects multiple incidents without corrective actions.

Examine the claims history for patterns of multiple incidents or a poor claims record; if such patterns exist without corrective actions taken, decline the business. This indicates ineffective risk management strategies and a higher likelihood of future claims.

Bookstores & Magazines (BT-0028)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the bookstore operates 24 hours or late-night hours.

Decline the application if the bookstore operates 24 hours or during late-night hours, as these operations can increase liability and security risks. Verify the hours of operation listed in the application to ensure they do not include such service.

Decline if the bookstore has a history of frequent or severe liability or theft claims.

If the bookstore has a history of frequent or severe liability or theft claims, decline the application, as this indicates ongoing risk management issues. Review the loss history section of the application to identify any concerning patterns.

Decline if the bookstore lacks clear aisleways and proper lighting.

Decline the application if the bookstore lacks clear aisleways and proper lighting, as these conditions can lead to slip-and-fall accidents. Examine the description of operations for mentions of aisleways and lighting to assess safety.

Decline if the bookstore does not conduct regular inventory assessments.

If the bookstore does not conduct regular inventory assessments, decline the application, as infrequent assessments can lead to discrepancies and undetected theft. Verify the frequency of inventory assessments as described in the operations section.

Decline if the bookstore allows unrestricted public access to storage or backroom areas.

Decline the application if the bookstore allows unrestricted public access to storage or backroom areas, as this increases liability and security risks. Investigate the operational description for any indication of such access.

Decline if the bookstore does not have adequate premises liability coverage.

If the bookstore does not have adequate premises liability coverage, decline the application, as inadequate coverage can expose the business to significant risks. Review the premises liability coverage listed in the application to ensure it meets industry standards.

Bridal Shops (BT-0029)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the shop has no documented cybersecurity controls.

Decline coverage if the shop lacks established and documented cybersecurity controls, as this exposes the business to significant cyber liability risks. Ensure that there are policies in place addressing data protection, employee training, and incident management.

Decline if the shop lacks a written and tested incident response plan for cyber events.

Decline coverage if the shop does not have a written and tested incident response plan for cyber events, as this indicates unpreparedness for potential cyber threats. The absence of such a plan can lead to severe business interruptions.

Decline if the shop reports chronic inventory buildup and poor turnover management.

Decline coverage if the shop exhibits chronic inventory buildup and poor turnover management, as these issues can lead to cash flow problems and increased financial risk. Assess inventory turnover rates and any documented challenges in managing stock levels.

Decline if the shop operates solely on a walk-in basis with no appointment system.

Decline coverage if the shop operates exclusively on a walk-in basis without an appointment system, as this can lead to overcrowding and negatively impact customer experience. An appointment system is essential for managing customer flow and improving service quality.

Decline if the shop has a high frequency or severity of prior claims without evidence of corrective action.

Decline coverage if the shop has a history of high frequency or severity of claims without evidence of corrective actions taken. This indicates ongoing operational or risk management deficiencies, which are significant red flags.

Decline if the shop has unresolved legal actions related to consumer protection or product quality.

Decline coverage if the shop is facing unresolved legal actions related to consumer protection or product quality, as these active legal challenges can pose significant risks to the business's liability exposure.

Building Materials & Supplies (BT-0030)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business is primarily engaged in repair, maintenance, or installation services.

If the business description indicates that it primarily engages in repair, maintenance, or installation services, it should be declined as these activities fall outside the acceptable risk profile and present exposures not aligned with underwriting criteria.

Decline if outdoor storage of untreated lumber is adjacent to buildings without fire protection.

Decline the application if untreated lumber is stored outdoors adjacent to buildings that lack fire protection, as this significantly increases fire hazards and potential loss severity, which is unacceptable for underwriting.

Decline if there are no documented safety protocols or employee training for fire and theft incidents.

An application should be declined if there are no documented safety protocols or employee training for fire and theft incidents, as this indicates a lack of preparedness and increases operational risk.

Decline if the facility lacks adequate fencing, lighting, and surveillance for outdoor storage.

If the facility description reveals inadequate fencing, lighting, and surveillance for outdoor storage, the application should be declined due to the increased vulnerability to theft and vandalism.

Decline if the business has a history of frequent or severe theft or fire claims.

Investigate the loss history for any mentions of frequent theft or severe fire claims; if such a history exists, decline the application due to ongoing risks that have not been adequately mitigated.

Decline if the facility has significant deferred maintenance or structural deficiencies.

Review maintenance records for indications of deferred maintenance or structural deficiencies; if significant issues are found, the application should be declined as facilities in poor condition are more likely to experience losses.

Business & Management Consultants (BT-0031)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if operations involve hazardous materials handling.

Decline any firm whose operations involve hazardous materials handling, as this introduces risks beyond typical consulting activities. Verify the operations description for any mention of hazardous materials, ensuring that the firm strictly provides advisory services without physical handling.

Decline if the firm has a history of frequent or severe claims.

A firm with a history of frequent or severe claims should be declined, as this indicates inadequate risk management practices. Review the claims history for any instances of more than two claims or claims exceeding $50,000 to assess potential future losses.

Decline if the firm operates in high-risk or unregulated jurisdictions.

Decline firms operating in high-risk or unregulated jurisdictions, as these areas present elevated legal and physical risks. Examine the operations description for references to such jurisdictions to understand the firm's overall risk exposure.

Decline if the firm does not maintain active professional liability insurance.

A firm lacking active professional liability insurance should be declined, as this coverage is essential for protecting against potential claims from advisory services. Confirm the presence of this insurance by checking the liability coverages section.

Decline if the firm does not utilize written client contracts.

Decline any firm that does not utilize written client contracts, as this increases legal exposure and complicates claims processes. Assess the operations description for the absence of such contracts, which are crucial for outlining service scope and responsibilities.

Decline if the firm has significant uninsured exposures.

A firm with significant uninsured exposures exceeding $50,000 should be declined, as these risks can lead to substantial financial losses. Review the property coverage section for any mention of uninsured exposures to evaluate the firm's risk management strategy.

Cable & Telecommunications (BT-0032)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business provides installation or repair services for high-voltage or utility infrastructure.

Decline any business that offers installation or repair services for high-voltage or utility infrastructure, as these activities pose significant safety and regulatory risks that could lead to severe accidents or legal liabilities.

Decline if the business has a history of frequent or severe claims related to property damage, theft, or liability.

A business with a history of frequent or severe claims related to property damage, theft, or liability should be declined, as this indicates inadequate risk management practices and a higher likelihood of future losses.

Decline if the business operates without a documented safety or technician training program.

Decline any business that lacks a documented safety or technician training program, as the absence of such protocols significantly increases the risk of accidents and claims, making the operation too risky.

Decline if the business operates in an area with extreme catastrophe risk without mitigation measures.

If a business operates in an area classified as having extreme catastrophe risk, decline it unless there are verified mitigation measures in place, as high-risk locations are more susceptible to significant losses from natural disasters.

Decline if the business stores large quantities of high-value electronics in unprotected or high-crime areas.

Decline any business that stores large quantities of high-value electronics in unprotected or high-crime areas, as these conditions greatly increase the risk of theft and damage, leading to substantial financial losses.

Decline if the business does not require subcontractors to carry their own insurance.

Decline businesses that do not require subcontractors to maintain their own insurance coverage, as this increases exposure to third-party liability and complicates overall risk management.

Camera & Photo Supply Stores (BT-0033)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if on-site chemical processing or darkroom operations are conducted.

Decline coverage if the business engages in on-site chemical processing or darkroom operations, as these activities significantly increase exposure to hazardous materials and fire risks, which are critical concerns for underwriting.

Decline if the business provides drone sales, rentals, or aerial photography services.

Coverage should be declined if the business offers drone sales, rentals, or aerial photography services, as these activities introduce aviation liability and regulatory complexities that fall outside the preferred appetite.

Decline if inventory regularly exceeds $500,000 in value.

Decline coverage if the business's inventory value regularly exceeds $500,000, as high inventory levels can lead to increased property exposure and complicate risk management.

Decline if the business does not comply with local business licensing and tax regulations.

Coverage must be declined if the business is not compliant with local business licensing and tax regulations, as non-compliance can lead to legal issues and increased regulatory risk.

Decline if the business engages in equipment rental for industrial, hazardous, or construction uses.

Decline coverage if the business engages in equipment rental for industrial, hazardous, or construction uses, as these activities pose significant risks that are not aligned with the preferred appetite.

Decline if the business operates as a pawn shop or accepts items on consignment.

Coverage should be declined if the business operates as a pawn shop or accepts items on consignment, as these operations expose the business to theft, fraud, and increased regulatory scrutiny.

Camping & Outdoor Equipment Stores (BT-0034)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business engages in the rental or leasing of outdoor equipment.

If the business is involved in the rental or leasing of outdoor equipment, it should be declined. Such operations significantly increase exposure to loss, damage, and liability claims, which heightens the risk for the insurer.

Decline if the business has a history of theft, burglary, or vandalism incidents without adequate security measures.

A business with a history of theft, burglary, or vandalism incidents, especially without sufficient security measures, should be declined. This history indicates a higher risk profile that can lead to increased liability.

Decline if the business fails to provide in-store instructional activities or customer engagement programs.

Decline any business that does not offer in-store instructional activities or customer engagement programs. The absence of these initiatives suggests a limited focus on safety and education, raising liability risks.

Decline if the business operates without a central station or local burglar alarm in a high-risk area.

If the business operates in a high-risk area without a central station or local burglar alarm, it should be declined. The lack of these security measures can lead to increased theft and associated losses.

Decline if the business sells heavily modified surplus items that do not meet safety standards.

A business that sells heavily modified surplus items failing to meet safety standards should be declined. This practice increases liability risks associated with defective or unsafe products.

Decline if the business supplies athletic or outdoor equipment directly to schools or institutional buyers.

Decline any business that supplies athletic or outdoor equipment directly to schools or institutional buyers. This supply chain introduces unique liability and contractual risks that elevate the insurer's exposure.

Candy & Confectionery Stores (BT-0035)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the store sells unlicensed or uninspected imported candies.

Decline any store that sells imported candies without proper licensing or inspection. Verify that all imported products have the necessary permits and health inspections to ensure compliance with regulations.

Decline if the store has a history of repeated food safety violations or regulatory shutdowns.

A store with a documented history of food safety violations or regulatory shutdowns should be declined. Review loss history records to identify any patterns of non-compliance that could indicate future risks.

Decline if the store operates in a high-crime area without documented security measures.

Decline stores located in high-crime areas that lack adequate security measures. Assess crime statistics and security protocols to ensure that the store is taking necessary precautions to mitigate theft and liability.

Decline if the store has significant seating and full-service dining.

If a store's seating capacity exceeds 50% of its operations, it should be declined due to the increased risk of slip and fall incidents. Evaluate the layout and customer flow to assess potential liability.

Decline if the store operates 24/7 without adequate staffing and security protocols.

Decline stores that operate 24/7 without sufficient staffing and security measures in place. Inadequate staffing can lead to errors and security incidents, heightening overall risk.

Decline if the store has extensive self-serve bulk bins without sanitation controls.

Stores with self-serve bulk bins that lack sanitation controls should be declined due to the heightened risk of contamination and foodborne illnesses. Ensure that proper hygiene practices are implemented for food safety.

Catering & Food Preparation Services (BT-0036)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of repeated foodborne illness claims.

Decline coverage if the business has a documented history of repeated foodborne illness claims, as this indicates systemic issues in food safety practices that elevate the risk of future incidents.

Decline if the business does not maintain records of ingredient sourcing.

Decline coverage if the business fails to maintain records of ingredient sourcing, as the absence of such documentation increases the risk of untraceable contamination and complicates liability in food safety incidents.

Decline if the business does not provide regular food safety training to staff.

Decline coverage if the business does not provide regular food safety training to its staff, since a lack of training can lead to increased errors and a higher likelihood of foodborne illnesses.

Decline if the business operates primarily in high-risk environments.

Decline coverage if the business primarily operates in high-risk environments, as these settings can introduce uncontrolled variables that significantly heighten food safety risks.

Decline if the business does not comply with FDA FSMA or equivalent regulations.

Decline coverage if the business does not comply with FDA FSMA or equivalent regulations, as non-compliance indicates a lack of adherence to essential food safety standards and increases liability risks.

Decline if the business lacks temperature-controlled storage and transportation.

Decline coverage if the business lacks proper temperature-controlled storage and transportation for food products, as this absence poses a significant risk for spoilage and foodborne illnesses.

Cellular Phone Sales/Service (BT-0037)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there are unresolved regulatory violations or ongoing investigations.

If the business has unresolved regulatory violations or is currently under investigation, it poses a higher risk to the insurer. Verify this by checking public records and regulatory agency databases to ensure compliance.

Decline if the business refuses to clarify or honor warranty terms for repairs or products.

A refusal by the business to clarify or honor warranty terms raises concerns about potential liability and customer dissatisfaction. Assess the clarity and completeness of the warranty terms provided.

Decline if the business sells counterfeit, untested, or grey-market devices.

Selling counterfeit or untested devices can lead to significant legal and financial repercussions. Investigate the sourcing and sales practices to ensure all products are legitimate and comply with industry standards.

Decline if the business lacks any inventory management or theft prevention controls.

A lack of inventory management systems and theft prevention measures can increase losses from theft and mismanagement. Confirm that the business has implemented adequate controls to mitigate these risks.

Decline if the business does not comply with applicable data protection regulations.

Non-compliance with data protection laws such as GDPR or CCPA can result in hefty fines and legal challenges. Verify the business's compliance to assess the associated risks.

Decline if the business has a history of repeated battery fires or device-related injuries.

A history of repeated battery fires or device-related injuries indicates underlying issues with product safety or quality control. Review the business's loss history for any claims related to such incidents.

Cemeteries & Funeral Services (BT-0038)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there are unresolved claims related to intentional acts or gross negligence.

Decline any business that has unresolved claims concerning intentional acts or gross negligence, as these indicate ongoing legal issues that could lead to future liabilities.

Decline if the business lacks required licenses for funeral directors or embalmers.

Decline any business that does not possess the necessary licenses for funeral directors or embalmers, as this non-compliance with state regulations can result in significant legal repercussions.

Decline if the business description indicates a pattern of negative media coverage or community complaints.

Decline any business that shows a pattern of negative media coverage or community complaints, as this may suggest underlying issues that could lead to increased claims or reputational damage.

Decline if the business has a history of frequent claims (three or more in the past five years).

Decline any business that has recorded three or more claims in the past five years, as this frequency indicates potential systemic issues within its operations or risk management practices.

Decline if the business description reveals inadequate employee training programs related to sanitation and safety.

Decline any business that lacks adequate employee training programs for sanitation and safety, as insufficient training can lead to increased risks of accidents or health violations.

Decline if the business does not maintain written contracts with all third-party vendors.

Decline any business that does not have written contracts with all third-party vendors, as the absence of these agreements can lead to liability disputes and operational uncertainties.

Churches & Religious Organizations (BT-0039)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of severe abuse or major liability claims.

Decline coverage if the organization has a documented history of severe abuse or major liability claims, as this indicates a heightened risk of future incidents. Review the organization's prior claims and loss history to assess any patterns that may suggest ongoing risk.

Decline if there are no child protection policies or background checks for staff.

Coverage should be declined if the organization lacks child protection policies or does not conduct background checks for staff and volunteers working with minors, as this significantly increases the risk of abuse claims.

Decline if the facility has outdated, uninspected electrical systems.

Decline coverage if the facility has outdated or uninspected electrical systems, as these can pose serious fire hazards and safety risks. Ensure that all electrical installations are up to code and regularly inspected.

Decline if the organization serves alcohol without proper licensing.

Decline coverage if the organization serves alcohol without the necessary licenses, as this increases liability exposure and may lead to legal complications. Verify compliance with local and state regulations regarding alcohol service.

Decline if there are significant deferred maintenance issues.

Decline coverage if there are significant deferred maintenance issues or unresolved structural hazards identified in the facility's maintenance records, as these can lead to property damage and injury risks.

Decline if the organization regularly hosts overnight events without supervision.

Decline coverage if the organization hosts overnight events without adequate adult supervision, as this increases liability risks related to the safety of participants. Verify documented policies and staff assignments for supervision.

Clothing & Apparel (Retail & Wholesale) (BT-0040)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if inventory exceeds $500,000 and no central alarm system is installed.

Decline coverage if the total inventory value exceeds $500,000 and there is no central alarm system in place, as this combination significantly heightens the risk of theft and loss claims, which are not acceptable for preferred appetite levels.

Decline if more than 75% of revenue comes from online sales.

Decline coverage if more than 75% of the business's revenue is generated from online sales, as this reliance increases exposure to cyber risks and fulfillment issues that can lead to substantial liabilities.

Decline if more than 10% of operations involve repair or alteration services.

Decline coverage if repair or alteration services account for more than 10% of operations, as these activities introduce additional liability risks that are not typically associated with retail operations.

Decline if the business sells repackaged, relabeled, or private-label products.

Decline coverage if the business is involved in selling repackaged, relabeled, or private-label products, as these practices can compromise product traceability and elevate liability risks.

Decline if the business has a history of significant theft or loss claims without corrective action.

Decline coverage if there is a history of significant theft or loss claims without documented corrective actions, as this indicates poor risk management and a higher likelihood of future claims.

Decline if the business lacks documented inventory management or loss prevention practices.

Decline coverage if the business does not have documented inventory management or loss prevention practices, as the absence of such documentation raises concerns about its ability to mitigate theft and loss risks.

Clubs & Recreation Facilities (BT-0041)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations include high-risk activities.

If the facility's operations involve high-risk activities such as rock climbing or trampoline parks, decline the application due to the elevated injury and liability exposures associated with these activities.

Decline if there is no documented maintenance program.

An application should be declined if there is no documented maintenance program that outlines regular inspections and maintenance of equipment and facilities, as inadequate maintenance can lead to accidents and increased liability.

Decline if operations allow unsupervised access to hazardous areas.

Decline the application if the facility permits unsupervised access to hazardous areas like pools or gyms, as this significantly raises the risk of accidents and liability claims.

Decline if the facility does not have comprehensive security measures.

If the facility lacks comprehensive security measures, including controlled access points and surveillance systems, decline the application due to the increased risks of unauthorized entry and theft.

Decline if the facility operates without owned or leased premises.

Decline the application if the facility does not own or lease its premises, as this lack of control over the environment increases operational and liability risks.

Decline if there is a history of significant regulatory violations.

Investigate the facility's history for significant regulatory violations; if such a history exists, decline the application due to the potential ongoing compliance risks and increased liability.

Coffee Shops & Tea Houses (BT-0042)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if seating capacity exceeds 150 patrons.

If the seating capacity exceeds 150 patrons, decline the application as this complicates evacuation procedures and raises the risk of crowd-related incidents. Verify the capacity listed in the Premises Description section to ensure it is accurate and current.

Decline if the establishment exceeds 7,500 square feet.

Decline the application if the total floor area exceeds 7,500 square feet, as larger establishments present increased fire hazards and liability exposures. Confirm the size provided in the Premises Description section to ensure compliance with this limit.

Decline if the description indicates deep frying or high-risk cooking operations.

If the Description of Operations mentions deep frying or high-risk cooking methods, decline the application due to the significant increase in fire hazards and insurance exposures associated with such operations. Review the cooking processes detailed by the applicant for clarity.

Decline if the establishment has extended closures exceeding 30 consecutive days.

Decline the application if there are indications of extended closures exceeding 30 consecutive days, as this may lead to increased risks related to property maintenance and vacancy. Assess the operational status as described in the Description of Operations.

Decline if the establishment has a history of frequent claims related to foodborne illness.

If the Claims History section reveals a pattern of frequent claims related to foodborne illness, decline the application due to ongoing risks and liabilities that could affect insurability. It is essential to evaluate the frequency and nature of these claims.

Decline if the business does not comply with local health and safety regulations.

Decline the application if there are indications of non-compliance with local health and safety regulations, as this can lead to increased claims and regulatory actions. Ensure the applicant adheres to all relevant regulations as outlined in the Description of Operations.

Computer & Technology Services (BT-0043)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business provides IT services for cryptocurrency mining operations.

Decline coverage if the business description indicates involvement in cryptocurrency mining operations, as this sector is associated with regulatory uncertainties and financial volatility that increase risk exposure.

Decline if the business offers technology services to cannabis-related businesses.

Coverage should be declined if the operations description includes any references to cannabis-related services due to the significant legal and reputational risks posed by the federally restricted cannabis industry.

Decline if the business has a history of unresolved data breaches or regulatory violations.

Review the loss history for any unresolved data breaches or regulatory violations, as a history of such incidents indicates a higher likelihood of future claims, making the business unsuitable for coverage.

Decline if the business operates physical data centers for third-party server hosting.

Decline coverage if the business operations include physical data centers, as these are linked to substantial property and cyber risks that are not acceptable under the preferred appetite level.

Decline if the business manufactures or assembles custom computer hardware.

Decline coverage if the business is involved in manufacturing or assembling custom computer hardware, as these activities carry higher product liability and quality control risks.

Decline if the business does not maintain current cyber liability insurance.

Verify that the business maintains current cyber liability insurance; without it, the risk of financial losses from data breaches increases, making the business a poor candidate for coverage.

Concrete & Masonry Services (BT-0044)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of major claims or violations.

If the business has a history of major claims, OSHA violations, or regulatory penalties within the past three years, the application should be declined. A review of claims reports and OSHA records is essential to identify any patterns of risk that may lead to future claims.

Decline if operations include risky activities without controls.

Applications should be declined if the operations description includes large-scale demolition or hazardous material abatement without documented specialized risk controls. These activities require specific safety measures and certifications to mitigate inherent risks.

Decline if there are no safety protocols or training programs.

Decline the application if the operations description lacks documented safety protocols or worker training programs, as this indicates a lack of commitment to safety that could result in increased accidents and claims.

Decline if operating without permits or in violation of codes.

Verify that the business complies with local permits and building codes; if it operates without the necessary permits or in violation of regulations, the application should be declined due to significant legal risks.

Decline if lacking essential insurance coverage.

Confirm that the business has active general liability and workers' compensation insurance; if either coverage is absent, the application should be declined due to the financial risks associated with potential claims.

Decline if using unvetted subcontractors without agreements.

Investigate the subcontractor management practices; if the business frequently uses unvetted subcontractors and lacks written risk transfer agreements, the application should be declined due to increased liability exposure.

Convenience Stores (BT-0045)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the store operates beyond 10 PM.

Decline applications for stores that operate past 10 PM, as late-night hours are linked to higher theft and liability risks. Verify the store's hours of operation to ensure compliance with this guideline.

Decline if the store size exceeds 3,000 square feet.

Applications should be declined if the store size exceeds 3,000 square feet, as larger stores present increased operational complexities and risks. Confirm the store size as stated in the application to maintain underwriting standards.

Decline if the description includes extensive food preparation or cooking.

If the store's operations involve extensive food preparation or cooking, decline the application due to the heightened fire and health risks associated with such activities. Review the operational description carefully to ensure compliance.

Decline if the store has a history of multiple theft or liability claims in the past 3–5 years.

Decline applications from stores with a history of multiple theft or liability claims in the past 3 to 5 years, as this indicates elevated risk and poor risk management. Assess the loss history provided in the application for any frequent claims.

Decline if there are no documented cash handling procedures.

Applications should be declined if there are no documented cash handling procedures, as proper cash management is vital for minimizing theft and fraud risks. Verify that these procedures are clearly outlined and accessible in the application.

Decline if there is an absence of physical security measures.

Decline applications for stores lacking physical security measures, as these systems are crucial for deterring theft and documenting criminal activities. Assess the application for any mention of security measures to ensure adequate protection is in place.

Cosmetics & Toiletries (BT-0046)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if on-site manufacturing is disclosed.

If the operations description reveals any on-site manufacturing processes, decline the application due to the heightened risk of contamination and product liability exposure associated with such activities.

Decline if the business sells products containing banned or restricted ingredients.

Decline the application if the operations description includes any banned or restricted ingredients, as this poses significant legal and regulatory challenges that could affect product safety.

Decline if the business has a history of product recalls.

Review the loss history for any documented product recalls; if such a history exists, decline the application due to the implications of compliance issues and increased risk.

Decline if annual gross sales exceed $2,000,000.

If the annual gross sales exceed $2 million as indicated in the application, decline the application since it typically falls outside the small business underwriting appetite, increasing risk exposure.

Decline if the business offers invasive beauty treatments.

Decline the application if the operations description mentions any invasive beauty treatments, as these services carry higher risks of professional liability and bodily injury.

Decline if the business has no documented supplier vetting process.

If there is no documented supplier vetting process in place, decline the application due to the increased risk of unsafe products reaching consumers, which is critical for maintaining product safety standards.

Countertop & Surface Installation (BT-0047)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business regularly uses uninsured or unvetted subcontractors for installation work.

Decline to engage with any business that frequently employs uninsured or unvetted subcontractors for installation tasks, as this practice significantly increases liability exposure. It is essential to verify the subcontractor vetting process and ensure that all subcontractors possess the necessary insurance coverage.

Decline if the business has a history of non-payment to vendors.

If a business has a documented history of non-payment to vendors, it is advisable to decline engagement, as this may indicate financial instability. Reviewing financial statements and vendor payment histories can reveal patterns that suggest increased risks of claims or litigation.

Decline if the business does not conduct risk assessments prior to project commencement.

A business that fails to conduct risk assessments before starting projects should be declined, as this neglect can lead to increased accidents and claims. It is crucial to check for documented risk assessment procedures and records of completed assessments to ensure safety protocols are followed.

Decline if the business performs structural modifications without appropriate engineering oversight and permits.

Decline to work with any business that undertakes structural modifications without the necessary engineering oversight and permits, as this can result in significant safety and legal issues. Verification of proper documentation is essential to ensure compliance with building codes.

Decline if the business has frequent or severe claims history related to installation errors.

A business with a frequent or severe claims history related to installation errors should be declined, as this indicates a higher operational risk. Reviewing claims history for patterns of errors is critical for assessing potential future claims.

Decline if the business lacks documented safety protocols for installation activities.

If a business does not have documented safety protocols for installation activities, it is advisable to decline engagement, as this increases the risk of accidents and legal issues. Comprehensive safety documentation is essential for regulatory compliance and minimizing incidents.

Craft & Hobby Stores (BT-0048)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business sells or rents hazardous materials in quantities exceeding minimal, consumer-safe amounts.

Decline the application if the business sells or rents hazardous materials in quantities that exceed safe consumer levels. Verify the types and quantities of these materials to ensure compliance with safety regulations, as excessive amounts can lead to significant risks including fire hazards and regulatory issues.

Decline if the business has a history of multiple claims related to customer or employee injuries within the past five years.

Decline the application if the business has a history of multiple injury claims within the last five years, as this indicates poor risk management practices. A pattern of such claims suggests an increased likelihood of future incidents, which is critical to assess when evaluating the business's risk profile.

Decline if the business premises do not meet local fire and safety codes, including missing or expired permits.

Decline the application if the business premises do not comply with local fire and safety codes, particularly if there are missing or expired permits. Ensuring compliance is vital to prevent catastrophic losses and legal liabilities associated with safety violations.

Decline if the business lacks documented inventory control systems or regular stock audits.

Decline the application if the business does not have documented inventory control systems or regular stock audits in place. The absence of these practices increases the risk of theft and mismanagement, which can adversely affect the financial stability of the business.

Decline if the business allows unsupervised use of high-risk equipment (e.g., open flames, power tools) by customers or untrained staff.

Decline the application if the business permits unsupervised use of high-risk equipment by customers or untrained staff. It is essential to verify that safety protocols are established to prevent accidents and injuries, as unsupervised use significantly heightens risk.

Decline if the business has unresolved pest infestations or sanitation violations.

Decline the application if there are unresolved pest infestations or sanitation violations noted in the business. Such issues pose health risks to both customers and staff, potentially damaging the business's reputation and safety.

Dairy & Ice Cream Shops (BT-0049)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is on-premises cooking without a fire suppression system.

Decline coverage if the business has on-premises cooking without an installed fire suppression system, as this significantly increases fire risk. Ensure that the system is regularly inspected and maintained to comply with safety standards.

Decline if the business has a history of major health code violations.

Decline coverage if the business has a documented history of major health code violations, as this indicates a pattern of non-compliance that poses unacceptable risks for underwriting.

Decline if the business does not provide any staff training in food safety.

Decline coverage if the business lacks a food safety training program for its staff, as inadequate training can lead to foodborne illnesses and increased liability claims.

Decline if the business lacks documented equipment maintenance schedules.

Decline coverage if the business does not have a documented maintenance schedule for its food preparation and storage equipment, as regular maintenance is critical to prevent failures and reduce fire risks.

Decline if the business does not comply with local, state, or federal food safety regulations.

Decline coverage if the business is found to be non-compliant with local, state, or federal food safety regulations, as this can lead to regulatory actions and increased liability.

Decline if the business relies exclusively on untrained or temporary staff during peak seasons.

Decline coverage if the business relies solely on untrained or temporary staff during peak seasons, as this practice can lead to operational inefficiencies and increased liability risks.

Dance, Drama, & Music Schools (BT-0050)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if instructors lack verifiable certifications.

Decline any application where instructors do not possess verifiable certifications relevant to their teaching disciplines, as this ensures that they are qualified to provide instruction and reduces the risk of injury to students.

Decline if there is a history of unresolved claims related to facility safety.

Decline applications that reveal a history of unresolved claims concerning facility safety, as this indicates ongoing safety issues that have not been adequately addressed.

Decline if the facility has significant safety hazards.

Decline any application if the facility description includes significant safety hazards, as these pose direct risks to participants and increase the likelihood of accidents.

Decline if background checks for staff working with minors are not conducted.

Decline applications where background checks for staff members interacting with minors have not been conducted, as this is essential for safeguarding vulnerable populations and complying with legal requirements.

Decline if the business operates without any form of liability insurance.

Decline any application from a business that does not have liability insurance, as operating without it exposes the business to significant financial risks in the event of an incident.

Decline if the school does not comply with local regulations regarding instructor qualifications.

Decline applications from schools that do not comply with local regulations regarding instructor qualifications, as non-compliance can lead to legal penalties and increased exposure to claims.

Day Care & Child Care Centers (BT-0051)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there are repeated or unresolved violations of health, safety, or licensing regulations.

Decline coverage if the center has a history of repeated or unresolved violations of health, safety, or licensing regulations, as indicated by inspection reports and licensing documentation. Such ongoing violations suggest a pattern of non-compliance that increases risk for the insurer.

Decline if the center has a history of multiple claims related to child injury, illness, or neglect within the past three years.

Decline coverage if the center has multiple claims related to child injury, illness, or neglect within the past three years, as this indicates potential systemic issues in operations or supervision that could pose significant risks.

Decline if the center lacks adequate staff-to-child ratios for more than 30 days in the past year.

Decline coverage if the center has not maintained adequate staff-to-child ratios for more than 30 days in the past year, as insufficient supervision can lead to accidents and regulatory scrutiny.

Decline if the operations description includes activities that expose children to significant safety risks, such as unsupervised outdoor play.

Decline coverage if the operations description reveals activities that expose children to significant safety risks, particularly unsupervised outdoor play, as these increase the likelihood of accidents and liability claims.

Decline if the operations description indicates the use of hazardous materials without proper safety protocols.

Decline coverage if the operations description mentions the use of hazardous materials without appropriate safety protocols, as this poses significant health risks to children and liability for the center.

Decline if the operations description reveals a lack of documented emergency procedures.

Decline coverage if the operations description lacks documented emergency procedures, as this can lead to chaos during emergencies and increase the risk of injury and liability claims.

Delicatessens & Sandwich Shops (BT-0052)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if open flame cooking is indicated.

If the operations description mentions open flame cooking or grilling, decline the application due to the heightened risk of fire incidents and associated liabilities. Ensure that the applicant provides a detailed account of their cooking methods to accurately assess this risk.

Decline if annual gross revenue exceeds $1,000,000.

Decline the application if the annual gross revenue exceeds $1,000,000, as higher revenues often indicate increased operational complexity and risk exposure. Verify the reported revenue in the Annual Gross Revenue field to ensure compliance with this guideline.

Decline if on-premises catering is mentioned.

If the operations description includes references to on-premises catering or event hosting, decline the application due to the increased liability and crowd management risks associated with larger gatherings. It is essential to ensure that the applicant's operations align with the underwriting appetite.

Decline if deep frying equipment is present.

Examine the Cooking Equipment field for any mention of deep fryers; if present, decline the application due to the significant fire and liability risks they pose. A careful review of the applicant's cooking methods and safety protocols is necessary in this case.

Decline if there is a history of health code violations.

Investigate the Prior Policy/Loss History section for any health code violations; if any are found, decline the application as this indicates poor risk management practices that can lead to increased regulatory scrutiny and liability risks.

Decline if there is ownership of delivery vehicles.

If the applicant owns delivery vehicles, decline the application due to the additional auto liability exposure this introduces. Confirm the Delivery Vehicles Owned field to assess this risk factor accurately.

Department & Discount Stores (BT-0053)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if revenue from online sales exceeds 75%.

If the revenue from online sales surpasses 75%, decline the application as this indicates a primary reliance on e-commerce rather than physical retail, which does not meet underwriting criteria.

Decline if on-premises cooking or commercial kitchens are present.

Decline the application if any cooking facilities or commercial kitchens are identified, as their presence significantly increases fire hazards and health risks beyond acceptable limits for retail operations.

Decline if more than 10% of revenue comes from repair operations.

If repair operations account for more than 10% of total revenue, decline the application, as this indicates a substantial ancillary activity that elevates liability risks.

Decline if the store sells significant pawnshop or adult-themed products.

Decline the application if the store is found to sell pawnshop or adult-themed products, as these categories are not considered acceptable retail operations and carry higher risks.

Decline if the store has a history of repeated regulatory violations.

If the applicant has a history of repeated regulatory violations, decline the application, as this reflects poor risk management practices that can lead to increased liability exposure.

Decline if the store operates in a high-crime area without security measures.

Decline the application if the store is located in a high-crime area and lacks adequate security measures, as this significantly heightens the risk of theft and vandalism.

Detective & Security Services (BT-0054)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business operates in high-risk environments such as nightclubs or bars.

Decline coverage if the business description indicates operations in high-risk environments like nightclubs or bars, as these settings are linked to increased violence and liability claims, posing significant risks for standard coverage.

Decline if the business provides armed security services.

Coverage should be declined if the operations description includes armed security services, as these carry higher liability risks and necessitate specialized underwriting assessments beyond the standard appetite.

Decline if the business involves security services for locations with contents valued over $500,000 without a monitored central alarm system.

Decline coverage if the business provides security for locations with contents valued over $500,000 and lacks a monitored central alarm system, as this significantly heightens the risk of theft and property loss.

Decline if the business employs unlicensed or uncertified security personnel.

Coverage must be declined if the business employs unlicensed or uncertified security personnel, as non-compliance with licensing laws increases legal exposure and can invalidate coverage.

Decline if the business operates without reporting protective system failures within 48 hours.

Decline coverage if the business fails to report protective system failures within 48 hours, as this increases risk and violates policy conditions, indicating inadequate reporting protocols.

Decline if the business provides cash-in-transit security services.

Decline coverage if the operations description mentions cash-in-transit security services, as these are particularly susceptible to theft and armed robbery, exceeding the standard risk appetite.

Diaper & Linen Services (BT-0055)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business has a history of unresolved regulatory violations.

Decline the application if the business has unresolved regulatory violations, as these can lead to legal issues and harm its reputation. Review regulatory filings and inspection reports to ensure all past violations have been addressed.

Decline if the business reports frequent employee injuries.

If the business reports a high frequency of employee injuries, decline the application due to potential safety hazards and increased financial risk. Examine injury claims and incident reports to assess the safety of the work environment.

Decline if the business lacks documented employee safety training.

Decline the application if the business does not have a documented employee safety training program, as this is essential for compliance with safety regulations and employee preparedness. Confirm the existence of training documentation.

Decline if the business operates without a documented equipment maintenance schedule.

If the business lacks a documented equipment maintenance schedule, decline the application due to the risks of equipment failures and potential liability issues. Verify the presence of maintenance records.

Decline if the business operates with significant chemical exposure without safety measures.

Decline the application if the business handles significant chemical exposure without proper safety measures, as this poses health risks and increases liability. Review safety data sheets and safety protocols for compliance.

Decline if the business has high manual handling requirements without ergonomic controls.

If the business has high manual handling requirements without ergonomic controls, decline the application due to the increased risk of musculoskeletal injuries. Investigate manual handling practices and the presence of ergonomic measures.

Door & Window Installation/Sales (BT-0056)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of frequent or severe claims related to improper installation.

Decline the application if the claims history reveals a pattern of frequent or severe claims associated with improper installation practices. Such a history indicates inadequate risk management and suggests a higher likelihood of future claims.

Decline if operations employ untrained or unverified laborers for installations.

Decline the application if it is found that the business employs untrained or unverified laborers for installations. The use of inadequately trained personnel increases the risk of accidents and poor workmanship, leading to greater liability exposure.

Decline if the business performs high-rise or industrial installations without specialized training.

Decline the application if the business engages in high-rise or industrial installations without personnel possessing specialized training. These projects carry elevated risks that require specific expertise to ensure safety and compliance.

Decline if there is no documented employee safety training program.

Decline the application if there is no documented employee safety training program in place. The absence of structured safety training increases the likelihood of workplace accidents and subsequent claims.

Decline if the business uses uninsured subcontractors.

Decline the application if any subcontractors employed by the business lack valid insurance coverage. Utilizing uninsured subcontractors significantly raises the risk for the primary insured, as these subcontractors may not be able to cover claims.

Decline if the business has a pattern of non-compliance with local building codes.

Decline the application if there is evidence of a pattern of non-compliance with local building codes. Such non-compliance can lead to legal issues, fines, and increased liability, posing a significant risk to the business.

Dry Cleaning & Laundry Services (BT-0057)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations include processing of biohazardous or infectious materials without proper protocols.

Decline if the business processes biohazardous or infectious materials without established protocols. It is essential to verify that appropriate safety measures, including staff training and safety equipment, are in place to protect both employees and customers.

Decline if the business uses unapproved or banned cleaning solvents.

Decline if the business utilizes cleaning solvents that are unapproved or banned by local and federal regulations. Confirm compliance by reviewing the list of solvents used and ensuring none are marked as non-compliant to mitigate environmental and health risks.

Decline if the business fails to obtain required licenses or permits for dry cleaning or laundry operations.

Decline if the business does not possess all necessary licenses and permits for legal operation. It is crucial to verify the validity of these documents to avoid potential legal liabilities and fines.

Decline if the business does not maintain annual equipment servicing by certified technicians.

Decline if the business fails to conduct annual servicing of its equipment by certified technicians. Regular maintenance is vital for operational safety and to reduce the risk of equipment failure.

Decline if the business operates in a residential building without commercial zoning approval.

Decline if the business operates in a residential area without the necessary commercial zoning approval. Confirming proper zoning is essential to avoid legal challenges and increased liability.

Decline if the business operates unattended during all hours of operation.

Decline if the business operates unattended during any hours of operation. Ensuring that the premises are attended is critical for preventing theft, misuse, and regulatory violations.

Educational & School Supply Stores (BT-0058)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if inventory values exceed $500,000 without a centrally monitored alarm system.

If the inventory value exceeds $500,000 and there is no centrally monitored alarm system in place, decline the application. High inventory values without adequate security measures significantly increase the risk of financial loss.

Decline if the description of operations includes in-store instructional activities, classes, or workshops.

Decline the application if the operations description mentions any in-store instructional activities, classes, or workshops, as these can introduce liability risks that require additional coverage not provided under standard policies.

Decline if more than 25% of total annual revenue is derived from online sales.

If more than 25% of the total annual revenue comes from online sales, decline the application due to the increased exposure to cyber risks such as data breaches and fraud.

Decline if the description of operations mentions equipment rentals.

Decline the application if the operations description includes any references to equipment rentals, as this practice raises liability and property damage risks that are not acceptable for this business type.

Decline if the premises lack standard security measures such as locked display cases and adequate lighting.

If the premises do not have standard security measures like locked display cases and adequate lighting, decline the application due to the heightened risk of theft and an unsafe environment for customers and staff.

Decline if the description of operations includes acceptance of used goods or consignment sales.

Decline the application if the operations description indicates acceptance of used goods or consignment sales, as this can lead to quality control issues and potential liability from defective or unsafe products.

Electrical Equipment & Supplies (BT-0059)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business engages in design, engineering, or installation of electrical systems in hazardous environments.

Decline coverage if the business is involved in the design, engineering, or installation of electrical systems in hazardous environments, as indicated by terms related to explosive atmospheres or chemical plants in their operations description. This involvement significantly increases liability exposure.

Decline if the business has a history of product recalls or unresolved regulatory violations in the past five years.

Decline coverage if the business has a history of product recalls or unresolved regulatory violations within the past five years, as indicated by a 'Yes' response in the application. Such issues suggest ongoing compliance problems that could elevate liability risks.

Decline if the business sells uncertified or counterfeit electrical products.

Decline coverage if the business sells uncertified or counterfeit electrical products, as these items pose significant safety risks and are not insurable. Ensure that all products meet relevant certification standards as outlined in their operations description.

Decline if the business operates without documented compliance with NEC, UL, or local electrical codes.

Decline coverage if the business lacks documented compliance with the National Electrical Code (NEC), Underwriters Laboratories (UL), or local electrical codes, as indicated by a 'No' response in the compliance field. Non-compliance increases liability risks associated with safety standards.

Decline if the business has more than 30% of revenue from private label or imported products lacking US certification.

Decline coverage if more than 30% of the business's revenue comes from private label or imported products that lack US certification, as this raises concerns about product safety and liability. Review the revenue breakdown to assess potential risk exposure.

Decline if the business has ongoing litigation related to product liability or environmental violations.

Decline coverage if the business has ongoing litigation related to product liability or environmental violations, as indicated by a 'Yes' response in the application. Unresolved legal issues can lead to significant financial losses and impact insurability.

Electronics Stores & Repair (BT-0060)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business has operated at the current insured location for less than 1 year.

A business that has operated at its current location for less than one year poses a higher risk due to insufficient operational history, which may indicate instability or a lack of experience in managing risks effectively.

Decline if more than 90% of total annual revenue is derived from online sales.

If a business generates more than 90% of its total annual revenue from online sales, it may lack in-person customer interaction, increasing liability exposures related to product handling and customer service.

Decline if there is no alarm system or monitoring installed.

A business without an alarm system or monitoring is more vulnerable to theft and loss, significantly increasing its risk profile.

Decline if there is a history of multiple major theft, burglary, or vandalism claims at the current location in the past 3 years.

A history of multiple major theft, burglary, or vandalism claims within the past three years indicates ineffective security measures and raises the likelihood of future incidents, posing a higher risk to the insurer.

Decline if technicians lack adequate training or certification.

If technicians do not possess the necessary training or certifications, the risk of improper repairs increases, which can lead to liability claims and damage the business's reputation.

Decline if there are repeated violations of local zoning, health, or safety regulations.

Repeated violations of local zoning, health, or safety regulations indicate a pattern of non-compliance that raises regulatory risks and the potential for business interruptions due to fines or shutdowns.

Embroidery & Custom Apparel (BT-0061)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business performs high-risk repairs, such as lithium-ion battery refurbishment.

Decline any business that engages in high-risk repairs, particularly those involving lithium-ion battery refurbishment, as these activities significantly elevate the risk of fire and explosion beyond acceptable levels. Verify the operations description to ensure such activities are not included.

Decline if the business offers personal services unrelated to embroidery, such as medi-spa or cosmetic treatments.

Decline businesses that provide personal services unrelated to embroidery, such as medi-spa or cosmetic treatments, as these services introduce additional liability and operational risks that diverge from the primary focus of the business. Review the operations description for any mentions of these unrelated services.

Decline if the business has a history of major insurance claims related to fire, theft, or workplace injury within the past five years.

Decline any business with a history of major insurance claims related to fire, theft, or workplace injuries within the past five years, as this indicates a higher likelihood of future claims that are unacceptable for this business type. Assess the claims history to understand the nature and frequency of these claims.

Decline if the facility lacks required alarm systems or has repeated security violations.

Decline businesses that lack required central station alarm systems or have documented repeated security violations, as inadequate security measures increase the risk of theft and property loss. Examine the Crime & Safety section for compliance with necessary security standards.

Decline if the business operates in premises with unresolved regulatory violations.

Decline any business operating in premises with unresolved regulatory violations, as ongoing issues can lead to increased claims and potential business interruptions. Verify the zoning compliance status to ensure there are no outstanding violations.

Decline if the business has contents valued over $750,000.

Decline businesses with contents valued over $750,000, as this presents an unacceptable exposure for this segment. Assess the property coverage section to evaluate the total value of contents and the adequacy of coverage.

Employment Agencies (BT-0062)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the agency operates without required state or federal licenses.

An agency must possess all necessary state and federal licenses to operate legally in its jurisdiction. Verify that these licenses are current and valid, as operating without them can result in severe legal consequences.

Decline if the agency has a history of unresolved regulatory violations or sanctions.

Review the agency's prior policy and loss history for any unresolved regulatory violations. A history of such violations indicates potential ongoing compliance risks that warrant further investigation.

Decline if the agency does not conduct background checks for placed candidates.

It is essential that the agency explicitly states its policy on conducting background checks for candidates it places. The absence of this information raises concerns about potential fraud and liability.

Decline if the agency places candidates in regulated industries without verifying credentials.

Investigate whether the agency verifies the credentials of candidates placed in regulated industries, as failing to do so poses significant legal and operational risks.

Decline if the agency misclassifies employees as independent contractors.

Ensure that the agency's operations description does not indicate employee misclassification, as this can lead to serious legal and financial repercussions.

Decline if the agency places candidates in hazardous environments without safety training.

Confirm that the agency provides safety training for candidates placed in hazardous environments, as the lack of such training poses serious risks for injury and liability.

Engineering & Surveying (BT-0063)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if the applicant is currently involved in litigation related to structural failures.

Decline the application if the applicant is engaged in ongoing litigation concerning structural failures, as this may indicate unresolved issues that could result in significant financial liabilities.

Decline if the applicant has a history of frequent or severe claims related to professional negligence.

An application should be declined if the applicant has a history of frequent or severe claims indicating professional negligence, as this suggests inadequate risk management practices that could lead to future losses.

Decline if the applicant operates without required permits or licenses.

Decline the application if the applicant lacks the necessary permits or licenses for their operations, as this can result in enforcement actions, project delays, and increased liability.

Decline if the applicant's operations include geophysical exploration using explosives.

If the applicant's operations involve geophysical exploration that utilizes explosives, the application should be declined due to the heightened physical and environmental risks associated with such activities.

Decline if the applicant has experienced project collapses or major structural failures.

Review the applicant's history for any project collapses or major structural failures; if such incidents are present, decline the application due to serious deficiencies in engineering practices and risk management.

Decline if the applicant has a pattern of regulatory violations or fines within the past five years.

An application should be declined if the applicant has a pattern of regulatory violations or fines in the past five years, as this indicates systemic operational issues that can elevate risk levels.

Fabric & Sewing Stores (BT-0064)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if fabric and sewing supplies are not the primary source of revenue.

Decline coverage if the majority of the business's revenue does not come from fabric and sewing supplies, as this indicates a lack of focus on core activities that align with our underwriting appetite.

Decline if the store has a history of frequent or severe insurance claims in the past three years.

Decline coverage if the store has filed more than three claims in the past three years, as this suggests ongoing risk issues that could lead to future losses.

Decline if significant quantities of highly flammable materials are stored without adequate fire suppression systems.

Decline coverage if the business stores large quantities of flammable materials without adequate fire suppression systems, as this poses an unacceptable risk for underwriting.

Decline if the store does not require subcontractors or instructors to carry their own insurance.

Decline coverage if the business does not require subcontractors and instructors to maintain their own insurance, as this significantly increases liability exposure.

Decline if the location is in a high-crime area without sufficient security measures.

Decline coverage if the business is located in a high-crime area and lacks sufficient security measures, as this increases the likelihood of theft or vandalism.

Decline if the business fails to comply with local, state, or federal safety regulations.

Decline coverage if the business does not comply with all relevant safety regulations, as non-compliance can lead to increased risk and potential legal issues.

Fast Food & Family Restaurants (BT-0065)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of major health code violations.

Decline any establishment that has a documented history of major health code violations within the past three years, as this indicates a lack of commitment to food safety and proper handling practices.

Decline if the establishment has a bar or cocktail lounge.

Decline establishments that include a bar or cocktail lounge, as the associated risks with alcohol service can complicate underwriting for fast food and family restaurants.

Decline if the establishment exceeds 7,500 square feet.

Decline any establishment that exceeds 7,500 square feet in total floor area, as larger spaces can lead to increased operational complexity and higher risk exposure.

Decline if there is no documented maintenance of kitchen equipment or fire suppression systems.

Decline establishments that do not maintain documented schedules for the maintenance of kitchen equipment or fire suppression systems, as this lack of upkeep poses significant safety hazards.

Decline if food sales away from the premises exceed 10% of total sales.

Decline any establishment where off-premises food sales exceed 10% of total sales, as this can introduce uncontrollable risks and complicate liability coverage.

Decline if there are persistent slip-and-fall claims with no corrective action.

Decline establishments with a history of persistent slip-and-fall claims that lack documented evidence of corrective actions, as this indicates inadequate safety management and increased liability exposure.

Financial Planners & Investment Firms (BT-0066)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the firm has unresolved regulatory investigations.

If the firm has unresolved regulatory investigations, it is essential to decline, as this indicates potential future claims and non-compliance with regulatory standards. Verify the firm's compliance history and public records to confirm any ongoing issues.

Decline if the firm fails to disclose all material operational risks.

Decline if the firm does not fully disclose all material operational risks, as incomplete disclosures can lead to unexpected liabilities. Assess the completeness of the operational risk information provided to ensure an accurate risk assessment.

Decline if the firm has a history of repeated data breaches.

A firm with a history of repeated data breaches should be declined, as this reflects inadequate data security measures and a higher likelihood of future incidents. Review the loss history for documented instances of data breaches to make this determination.

Decline if the firm operates in a shared office environment without adequate access controls.

If the firm operates in a shared office environment without sufficient access controls, it is advisable to decline, as this increases the risk of unauthorized access to sensitive information. Evaluate the office layout and access control measures to ensure they are adequate.

Decline if the firm does not have a documented incident response plan.

Decline if the firm lacks a documented incident response plan, as this absence can significantly elevate operational risks and the potential impact of cyber incidents. Confirm the existence of a formal plan to assess the firm's preparedness.

Decline if the firm lacks any form of professional liability or cyber insurance.

If the firm does not have professional liability or cyber insurance, it should be declined due to the significant financial risks posed by potential claims. Verify the insurance coverage status to ensure the firm is adequately protected.

Floor Covering & Carpet Installation (BT-0067)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business removes or disturbs flooring containing hazardous materials.

Decline coverage if the business engages in the removal or disturbance of flooring that contains hazardous materials, such as asbestos, as this poses significant health risks and environmental liabilities that are typically excluded from coverage.

Decline if the business performs demolition or abatement services beyond standard flooring removal.

Decline coverage if the business includes demolition or abatement services in its flooring installation work, as these activities introduce additional risks and liabilities that exceed standard flooring installation policies.

Decline if the business has a history of environmental violations or unresolved pollution claims.

Decline coverage if the business has a history of environmental violations or unresolved pollution claims, as this indicates a higher risk of future claims and makes the business unsuitable for coverage.

Decline if the business operates without proper licensing or workers' compensation coverage.

Decline coverage if the business lacks the necessary licenses or workers' compensation coverage, as operating without these poses legal and financial risks, particularly regarding employee injuries.

Decline if the business stores large quantities of flammable adhesives or chemicals without proper controls.

Decline coverage if the business stores large quantities of flammable adhesives or chemicals without adequate safety protocols, as this presents an unacceptable fire hazard risk.

Decline if the business engages in excavation or earth-moving activities.

Decline coverage if the business includes excavation or earth-moving activities in its services, as these present additional risks that fall outside the scope of standard flooring installation services.

Florists (BT-0068)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of poor order fulfillment or unresolved customer complaints.

Assess the business's customer feedback and complaint resolution history to identify any patterns of operational instability, particularly regarding order fulfillment. A history of unresolved complaints indicates a lack of reliability and increases potential liability risks.

Decline if unauthorized event setups are conducted without proper documentation.

Ensure that the business has documented agreements for all event setups, as unauthorized setups pose significant liability risks. Confirming that all events are properly contracted and documented is essential for operational integrity.

Decline if unlicensed pesticides or chemicals are used in floral arrangements.

Verify that the business exclusively uses licensed and approved pesticides or chemicals to ensure compliance with health regulations. This practice is crucial for mitigating potential health risks associated with unregulated substances.

Decline if there are no documented risk management practices for delivery or event setup.

Check for the existence of formalized risk management procedures within the business, as their absence can lead to increased claims and operational losses. It is vital to confirm that these practices are in place.

Decline if there are unresolved negligence-related claims.

Review the business's claims history for any unresolved negligence claims, as ongoing claims indicate higher operational risk and suggest inadequate risk management practices. This situation can lead to future liabilities.

Decline if the business does not maintain up-to-date licenses and permits.

Verify the current status of the business's licenses and permits to ensure compliance, as operating without valid licenses exposes the business to regulatory risks and legal issues. Confirming that all licenses are current is critical.

Food & Grocery Stores (BT-0069)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if there are significant or repeated violations of food safety regulations.

Decline any application where there are significant or repeated violations of food safety regulations, as this indicates ongoing compliance issues that could lead to contamination and regulatory actions.

Decline if the store has chronic pest infestations or unsanitary conditions.

Decline applications for stores with chronic pest infestations or unsanitary conditions, as these issues suggest inadequate maintenance and pose a heightened risk of food contamination.

Decline if the operations lack documented employee food safety training.

Decline if the store cannot provide documentation of employee food safety training, as insufficient training increases the risk of foodborne illnesses that can severely impact both the business and its customers.

Decline if the store has outdated or malfunctioning refrigeration equipment.

Decline applications for stores with outdated or malfunctioning refrigeration equipment, as this can lead to spoilage and health hazards, making it essential for all equipment to be in proper working order.

Decline if the store has failed recent regulatory inspections with unresolved critical deficiencies.

Decline if the store has failed recent regulatory inspections and has unresolved critical deficiencies, as this indicates a lack of compliance that poses health risks and could result in business closure.

Decline if the business operates without required local, state, or federal licenses or permits.

Decline any application from a business that operates without the necessary local, state, or federal licenses or permits, as this can lead to significant legal and regulatory risks that jeopardize the business's future.

Dessert Shops (BT-0070)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there are unresolved health department citations.

Decline the application if there are unresolved health department citations, as these indicate ongoing compliance issues that could lead to increased risk of claims. Verify the health department inspection reports to ensure that the business has addressed any cited violations.

Decline if the shop has a history of multiple food safety violations.

If the shop has a history of multiple food safety violations, decline the application due to the increased liability risk associated with systemic food safety issues. Review the food safety inspection history to assess whether the shop has implemented corrective measures.

Decline if the shop operates with non-commercial kitchen equipment.

Decline the application if the shop uses non-commercial kitchen equipment, as this may not comply with safety regulations and increases operational risks. Ensure that all kitchen equipment meets commercial standards suitable for food preparation and service.

Decline if the shop has failed to implement corrective measures for past claims.

If the shop has not taken corrective measures following past claims, decline the application due to a disregard for risk management that could lead to future claims. Examine the loss history to confirm documented efforts to mitigate risks.

Decline if the shop's primary focus is alcohol service exceeding 30% of total sales.

Decline the application if alcohol sales exceed 30% of total sales, as this indicates a primary focus on alcohol service that increases liability exposure. Assess the sales breakdown to ensure alignment with the dessert shop classification.

Decline if the shop has not maintained up-to-date documentation of licenses and permits.

If the shop has not maintained current and valid licenses and permits, decline the application due to potential compliance issues and operational risks. Verify that the business has a system for tracking and renewing necessary documentation.

Fruit & Vegetable Markets (BT-0071)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there are repeated food safety violations.

Decline the application if there is a history of repeated food safety violations, as this indicates a pattern of negligence that could lead to contamination and liability claims. Review past inspection reports and corrective actions taken to assess the applicant's commitment to food safety.

Decline if there is no documented staff training in food handling.

An application should be declined if there is no documentation confirming staff training in food handling practices, as proper training is essential to prevent foodborne illnesses. Verify the presence of training certificates or logs to ensure compliance with food safety standards.

Decline if temperature and humidity controls for perishable inventory are not maintained.

Decline the application if records indicate that temperature and humidity controls for perishable inventory are not consistently maintained, as this is crucial to prevent spoilage and reduce claims related to food quality. Review monitoring records to ensure compliance.

Decline if there is no insurance coverage for auto liability despite using delivery vehicles.

If the applicant does not have auto liability coverage in their insurance policies while using delivery vehicles, the application should be declined due to the significant risks associated with transporting goods. Verify the presence of this coverage in the liability section of the application.

Decline if there is a history of claims related to severe foodborne illness outbreaks.

Decline the application if there is a history of claims related to severe foodborne illness outbreaks, as this indicates a high level of liability exposure and ongoing risks that are unacceptable for underwriting. Investigate the claims history for any such instances.

Decline if supplier audits for food safety compliance are not conducted or documented.

An application should be declined if the applicant has not conducted or documented supplier audits for food safety compliance, as these audits are critical for ensuring the quality and safety of sourced produce. Ensure that audit reports or compliance certificates are available.

Furniture Stores & Installation (BT-0072)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if operations include on-site woodworking or manufacturing.

Applications should be declined if the business operations involve on-site woodworking or manufacturing, as these activities significantly increase the risk of fire and injury due to heavy machinery and flammable materials.

Decline if the business offers furniture rental or leasing services.

If the business description includes furniture rental or leasing services, the application must be declined due to the higher risks of property damage and theft associated with these operations.

Decline if the business performs structural installations.

Applications should be declined if the operations description indicates that the business performs structural installations, as this introduces construction-related risks beyond standard furniture installation.

Decline if the store is located in a high-crime area with no security measures.

If the store is situated in a high-crime area and lacks security measures, the application should be declined due to the increased risk of theft and property loss.

Decline if the business has unresolved or severe claims in the past 5 years.

Applications must be declined if the business has unresolved or severe claims in the past five years, as this indicates ongoing risk and poor risk management practices.

Decline if the business does not comply with local zoning regulations.

If the business does not comply with local zoning regulations, the application should be declined due to the increased regulatory and liability exposure that could lead to legal issues.

Garden & Landscaping Services (BT-0073)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if tree trimming or removal represents more than 25% of operations.

Decline coverage if tree trimming or removal constitutes more than 25% of the business operations, as this indicates a higher severity risk that standard appetite does not adequately cover. Verify the operations description to confirm the percentage of tree-related services.

Decline if the business applies pesticides or herbicides as a primary service.

Decline coverage if the application of pesticides or herbicides is identified as a primary service, as this increases pollution and regulatory exposure risks. Review the operations description to confirm the classification of these services.

Decline if the business has a history of environmental violations or chemical spills.

Decline coverage if there is a history of environmental violations or chemical spills, as this suggests poor risk management and potential regulatory issues. Investigate the loss history section for any relevant mentions.

Decline if business personal property exceeds $500,000 and no central alarm system is in place.

Decline coverage if the value of business personal property exceeds $500,000 and there is no central alarm system, as higher property values require enhanced security measures. Check the application for details regarding security systems.

Decline if snow removal is performed as a primary business activity.

Decline coverage if snow removal is listed as a primary business activity due to the significant slip-and-fall liability exposure associated with it. Verify the operations description to confirm its classification.

Decline if the business subcontracts the majority of its work without adequate oversight.

Decline coverage if more than 50% of the work is subcontracted without adequate oversight, as this can lead to unacceptable liability exposure. Assess the application for the percentage of subcontracted work and the level of oversight in place.

General Contractors & Builders (BT-0074)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if the applicant performs any work in New York City, Nassau, Suffolk, or Westchester counties.

Decline the application if the applicant's operational locations include New York City, Nassau, Suffolk, or Westchester counties, as indicated in the 'Description of Operations' section. These areas present a high litigation risk and an unfavorable jurisdictional environment.

Decline if the applicant engages in heavy construction activities such as bridge construction, dredging, drilling, or tunneling.

If the 'Description of Operations' mentions heavy construction activities like bridge construction, dredging, drilling, or tunneling, decline the application due to the elevated risk profiles associated with these activities.

Decline if the applicant performs tree service, tree removal, or stump grinding.

Check the 'Description of Operations' for any references to tree service, tree removal, or stump grinding, and decline the application if these services are included, as they are known for high claim frequency and severity.

Decline if the applicant has more than 30% of total costs subcontracted.

Review the 'Subcontracted Costs Percentage' in the 'Applicant Information' section and decline the application if this percentage exceeds 30%, as it indicates increased risk of default and potential loss control issues.

Decline if the applicant's annual payroll exceeds $1M or annual revenue exceeds $2M.

Assess the 'Annual Payroll' and 'Annual Revenue' fields in the 'Applicant Information' section and decline the application if the annual payroll exceeds $1 million or annual revenue exceeds $2 million, as this indicates higher risk exposure.

Decline if the applicant has a history of regulatory violations or insurance claims in the past three years.

Investigate the 'Claims History' section for any regulatory violations or insurance claims in the past three years and decline the application if such issues are present, as they suggest poor risk management practices.

Gift & Souvenir Shops (BT-0075)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business has experienced multiple insurance claims in the past three years.

Decline coverage if the business has reported multiple insurance claims within the last three years, as this indicates a higher risk profile that may not align with our underwriting appetite. Assess the nature of these claims to determine if they stem from operational issues or external factors.

Decline if the shop is located in a high-crime area without adequate security measures.

Decline coverage if the shop is situated in a high-crime area and lacks adequate security measures, as this significantly increases the risk of theft and loss. Ensure that the business has implemented sufficient security systems to mitigate these risks.

Decline if the business does not maintain documented inventory management procedures.

Decline coverage if the business cannot provide documented inventory management procedures, as proper controls are essential for preventing losses and ensuring accurate stock reporting. The absence of such procedures raises the risk of discrepancies and theft.

Decline if the business allows unsupervised customer access to high-value merchandise.

Decline coverage if customers have unsupervised access to high-value merchandise, as this practice heightens the risk of theft and loss. It is crucial that the business implements measures to supervise customer interactions with valuable items.

Decline if the shop does not provide any employee training on safety or loss prevention.

Decline coverage if the business lacks employee training programs focused on safety and loss prevention, as such training is vital for minimizing risks associated with theft and workplace accidents. A deficiency in training can lead to increased incidents and claims.

Decline if the business operates exclusively online without a physical storefront.

Decline coverage if the business operates solely online without a physical storefront, as this absence complicates risk assessment and policy eligibility. A physical presence is essential for effective underwriting and understanding risk exposure.

Glass & Window Services (BT-0076)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business performs work on buildings above three stories.

Decline coverage if the business engages in work on buildings exceeding three stories, as indicated by terms like 'high-rise' in the operations description. This type of work poses a higher risk of falls and catastrophic losses, necessitating a limitation to lower-height buildings.

Decline if the business lacks formal, documented safety protocols.

If the business does not have formal, documented safety protocols or training measures in place, decline coverage due to the increased likelihood of workplace accidents and potential insurance claims. A clear safety plan is essential for risk mitigation.

Decline if the business includes window display removal or replacement as a standard part of their service offering.

Decline coverage if the operations description mentions window display removal or replacement, as these services involve high-value property and complex liability exposures that elevate risk.

Decline if the business has no documented vehicle maintenance program.

If the business lacks a documented vehicle maintenance program, decline coverage due to the increased risk of accidents and damage during transport. A formalized vehicle upkeep process is necessary for safety.

Decline if the business has a history of frequent or severe claims related to property damage or bodily injury.

Examine the claims history for frequent or severe claims; if such claims are present, decline coverage as they indicate elevated operational risk and potential for future losses.

Decline if the business primarily engages in large-scale construction or high-rise glazing projects.

Decline coverage if the business is involved in large-scale construction or high-rise glazing projects, as these activities carry a higher risk of catastrophic loss due to their complexity and height.

Golf & Sporting Equipment Stores (BT-0077)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if sales of firearms or ammunition exceed 5% of total annual receipts.

Decline the application if the sales of firearms or ammunition surpass 5% of total annual receipts, as this significantly heightens liability and regulatory risks. Review the applicant's financial statements and sales reports to verify the percentage of these sales.

Decline if the business engages in equipment rental operations.

If the business is involved in equipment rental operations, decline the application due to increased liability exposure from potential misuse or damage. Examine the operations description for any mention of rental activities.

Decline if the business performs repair services on customer-owned equipment.

Decline the application if the business offers repair services for customer-owned equipment, as this introduces product liability and workmanship risks. Review the operations description to confirm the presence of such services.

Decline if the business has a history of significant liability claims.

Assess the applicant's liability claims history and decline the application if there is a record of significant claims, indicating higher ongoing risk. This information can be found in the claims history report.

Decline if the premises lack a professionally monitored alarm system.

Decline the application if the premises do not have a professionally monitored alarm system, as this is crucial for reducing theft and property loss risks. Verify the presence of such a system through the crime and safety section of the application.

Decline if the business does not have a clear return policy for equipment sales.

If the business lacks a clear return policy for equipment sales, decline the application to mitigate potential disputes and liability issues. Check the operations description for documentation of the return policy.

Graphic Design & Commercial Artists (BT-0078)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business engages in broadcasting or advertising with extensive media production.

Decline the application if the business description indicates involvement in broadcasting or advertising with extensive media production, as these activities introduce complex liability risks that are not typical for graphic design services.

Decline if the business operates with more than 10 employees.

If the applicant information reveals that the business has more than 10 employees, decline the application due to the increased operational complexity and risk associated with larger teams, which may exceed the acceptable appetite for small businesses in this sector.

Decline if the business has physical client meetings that involve hosting large groups.

Decline if the operations description suggests that the business hosts large group meetings or events, as this significantly elevates premises liability risks that are not typical for graphic design firms.

Decline if the business relies on non-owned or rented vehicles for client deliveries.

If the general information section indicates that the business relies on non-owned or rented vehicles for client deliveries, decline the application due to the heightened liability exposures that are not standard in graphic design operations.

Decline if the business lacks documented contracts outlining client deliverables and timelines.

Decline the application if there is no evidence of documented contracts outlining client deliverables and timelines, as the absence of such agreements can lead to misunderstandings and increase the risk of errors and omissions claims.

Decline if the business stores sensitive client data without encryption or secure backup protocols.

If the data security measures field indicates that the business does not utilize encryption or secure backup protocols for sensitive client data, decline the application due to the significant risks of data breaches and information loss.

Hardware & Home Improvement Stores (BT-0079)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business operates without required business licenses or regulatory permits.

Ensure the business possesses all necessary licenses and permits as required by local, state, and federal regulations. Operating without proper authorization can lead to legal penalties and increased risk for the insurer.

Decline if the business has unresolved OSHA violations or a history of serious workplace injuries.

Review the business's safety records for any unresolved OSHA violations or patterns of serious workplace injuries, as these indicate a lack of commitment to maintaining a safe work environment and can lead to increased liability risks.

Decline if the business sells large volumes of hazardous chemicals or flammable materials without proper containment.

Assess the business's handling and storage procedures for hazardous materials to ensure compliance with safety regulations and adequate containment measures, as failure to do so poses significant regulatory and fire risks.

Decline if the business has ongoing litigation related to customer or employee injuries.

Investigate any ongoing litigation involving customer or employee injuries, as active lawsuits indicate unresolved liability issues that significantly elevate the business's risk profile.

Decline if the business lacks documented employee training and safety protocols.

Verify that the business has established documented training programs for employees, particularly regarding safety protocols, as a lack of training increases the risk of accidents and liability claims.

Decline if the business has significant structural deficiencies or code violations.

Examine the structural integrity of the business premises for any documented code violations and ensure compliance with local building codes, as unsafe premises can lead to injuries and property loss, increasing the insurer's risk exposure.

Health Food & Vitamin Stores (BT-0080)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the applicant sells unregulated, black-market, or banned supplements.

If the applicant's product offerings include unregulated, black-market, or banned supplements, decline the application. Review the product list and descriptions to ensure compliance, as these items pose significant legal and health risks.

Decline if the applicant has a history of frequent or severe product liability claims.

An applicant with a history of frequent or severe product liability claims should be declined. Investigate the loss history for patterns indicating issues with product safety or quality control, which elevate underwriting risks.

Decline if the applicant does not maintain proper business licenses.

Decline the application if the applicant lacks current and necessary business licenses. Verify that all licenses are maintained, as non-compliance can lead to legal penalties and operational disruptions.

Decline if the applicant does not have temperature and humidity controls in storage areas.

If the applicant's storage areas lack adequate temperature and humidity controls, decline the application. Poor storage conditions can result in product spoilage and contamination, raising liability concerns.

Decline if the applicant has no documented employee training on product safety.

Decline the application if the applicant cannot provide documentation of employee training on product safety. Insufficient training increases the risk of product mishandling and potential liability claims.

Decline if the applicant fails to implement secure payment processing.

If the applicant's payment processing systems are not secure and compliant with industry standards, decline the application. Inadequate security measures can lead to data breaches and fraud, significantly increasing risk exposure.

Heating & Refrigeration Services (BT-0081)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if business type is not aligned with appetite level

Ensure that the business type corresponds with the 'Preferred' appetite level by verifying that the heating and refrigeration services meet acceptable standards and risk profiles for underwriting. Review the business operations and associated risks that may not be immediately apparent from the application to confirm alignment.

Hobby & Model Shops (BT-0082)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if hazardous materials are sold or rented in quantities exceeding minimal regulatory thresholds.

Decline any application where hazardous materials are sold or rented in quantities that exceed minimal regulatory thresholds. Verify the types and quantities of these materials to ensure compliance with local and federal regulations, as this is essential for minimizing safety and compliance risks.

Decline if the premises do not meet local fire and safety codes.

Decline applications for premises that do not meet local fire and safety codes. Confirm that the premises have been inspected and certified for compliance, including the presence of fire alarms, extinguishers, and clear exit routes, to reduce liability and regulatory risks.

Decline if there is a history of claims related to customer or employee injuries.

Decline any application with a history of claims related to customer or employee injuries. Review the claims history for patterns that indicate ongoing safety issues, as understanding the nature and frequency of these claims is crucial for risk assessment.

Decline if the premises are poorly maintained, such as having cluttered aisles or inadequate lighting.

Decline applications for premises that are poorly maintained, characterized by cluttered aisles or inadequate lighting. Assess the condition of the premises based on the description provided, as a clean and organized environment is vital for reducing accident risks and enhancing customer experience.

Decline if the business lacks proper inventory control systems.

Decline any application if the business lacks proper inventory control systems. Evaluate the inventory management practices to ensure there are effective systems in place for tracking inventory levels and managing stock, as this is critical for operational efficiency.

Decline if there is unsupervised access to hazardous or restricted items by customers.

Decline applications where there is unsupervised access to hazardous or restricted items by customers. Investigate the access control measures in place to ensure adequate systems are established to prevent misuse and reduce the risk of accidents or regulatory violations.

Hotels, Motels, Bed & Breakfasts (BT-0083)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the establishment has an on-site bar or lounge facilities.

If the establishment includes an on-site bar or lounge, it should be declined due to the increased liquor liability exposure associated with alcohol service. Verify the operations description for any mention of these facilities, as their presence necessitates a more thorough risk assessment.

Decline if the property has extended seasonal closures exceeding 30 consecutive days.

Decline the property if it has seasonal closures lasting more than 30 consecutive days, as this can lead to heightened risks of vacancy and maintenance issues. Review the operations description to confirm the duration of any stated closures.

Decline if the property has significant deferred maintenance or structural deficiencies.

A property should be declined if there are indications of significant deferred maintenance or structural deficiencies, as these can pose safety hazards and increase the likelihood of claims. Check the operations description for relevant mentions and consider obtaining a thorough inspection report.

Decline if the property lacks functioning fire protection systems.

Decline any property that does not have functioning fire protection systems, as their absence significantly elevates risk. Verify the presence of such systems by checking the 'Sprinklers Y/N' response in the structured field.

Decline if the establishment has a history of major claims or losses in the past five years.

If the establishment has a history of major claims or losses within the last five years, it should be declined due to the elevated risk this presents. Review the 'Major Claims History' response in the structured field to assess the nature and frequency of past claims.

Decline if the property has more than 10 guest rooms for B&Bs; or more than 20 guest rooms for motels.

Decline any bed and breakfast with more than 10 guest rooms or any motel with more than 20 guest rooms, as exceeding these limits indicates a higher risk profile outside the preferred appetite. Check the 'Number of Guest Rooms' in the structured field to ensure compliance.

Interior Decorating & Design (BT-0084)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business engages in general construction or structural remodeling activities.

Decline any business that engages in general construction or structural remodeling activities, as these introduce significant liability and fall outside the intended scope of interior decorating and design. Verify the operations description for any mention of construction or remodeling to ensure compliance.

Decline if the business handles hazardous materials such as lead paint or asbestos.

Decline businesses that handle hazardous materials like lead paint or asbestos, as this increases health and safety risks and complicates regulatory compliance. Review the operations description for any references to such materials to determine eligibility.

Decline if the business does not maintain a clear separation between design services and any physical installation activities.

Decline businesses that do not maintain a clear separation between design services and physical installation activities, as this is essential for regulatory compliance and limiting liability. Check the operations description for any overlap or lack of clarity.

Decline if the business operates without formal contracts or project documentation.

Decline any business that operates without formal contracts or project documentation, as this can lead to misunderstandings and legal issues. Verify the presence of formal contracts to ensure accountability and compliance.

Decline if the business performs electrical, plumbing, or HVAC work beyond decorative fixture installation.

Decline businesses that perform electrical, plumbing, or HVAC work beyond decorative fixture installation, as these tasks require specialized licensing and present elevated risk profiles. Assess the scope of work to confirm compliance.

Decline if the business provides services primarily to commercial or industrial clients rather than residential customers.

Decline businesses that primarily serve commercial or industrial clients instead of residential customers, as these projects often involve higher complexity and risk. Examine the client type to ensure alignment with the appetite for interior decorating and design services.

Janitorial & Cleaning Services (BT-0085)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations involve handling hazardous or industrial waste.

Decline coverage if the business operations include handling hazardous or industrial waste, as this significantly increases pollution and regulatory risks beyond standard janitorial exposures. Ensure that the activities align with acceptable practices for janitorial services.

Decline if there are no documented background checks for employees.

Decline if the business does not have documented background checks for employees, as this is essential for mitigating risks associated with theft and dishonesty, particularly in environments with unsupervised access.

Decline if the business operates without commercial auto insurance.

Decline coverage if the business lacks commercial auto insurance, as operating without this coverage poses significant liability risks, especially when transporting staff and cleaning chemicals.

Decline if the business has a history of major pollution claims.

Decline if there is a history of major pollution claims, as this indicates ongoing or unmanaged risks that could lead to future liabilities and is critical for understanding the business's risk exposure.

Decline if there are no written protocols for chemical handling.

Decline if the business does not have written protocols for chemical handling, as these are essential for ensuring safe and compliant management of chemicals, thereby reducing environmental and employee safety risks.

Decline if employee training on chemical safety is not documented.

Decline if there is no documentation of employee training on chemical safety, as proper training is crucial for minimizing the risk of injuries and environmental incidents, and documentation serves as proof of compliance with safety regulations.

Jewelry & Watch Stores (BT-0086)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if annual gross sales exceed $1,000,000.

Decline coverage if the applicant's annual gross sales exceed $1,000,000, as verified against their financial statements or tax returns. Higher sales volumes can indicate increased inventory and liability exposures, raising the overall risk profile of the business.

Decline if the business conducts on-site jewelry or watch manufacturing.

Decline coverage if the business description indicates any on-site jewelry or watch manufacturing activities, as these processes can introduce significant risks such as fire hazards and chemical exposure that must be carefully assessed.

Decline if the business operates without a 24/7 monitored alarm system.

Decline coverage if the business does not have a 24/7 monitored alarm system, as a robust security system is essential for protecting high-value inventory and mitigating theft risks.

Decline if the business offers pawn or primary consignment services.

Decline coverage if the business description includes pawn or primary consignment services, as these activities can introduce regulatory complexities and increased theft risks that require further scrutiny.

Decline if the business has a history of multiple insurance claims for theft, fire, or liability in the past five years.

Decline coverage if the business has a history of multiple insurance claims for theft, fire, or liability within the past five years, as this indicates higher operational risks and potential inadequacies in risk management practices.

Decline if the business does not conduct employee background checks.

Decline coverage if the business does not conduct employee background checks, as this practice is crucial for minimizing the risk of internal theft and fraud, particularly in businesses handling high-value items.

Kitchen & Home Accessories Stores (BT-0087)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business description includes on-premises cooking demonstrations using commercial kitchen equipment.

If the business description mentions on-premises cooking demonstrations that utilize commercial kitchen equipment, decline the application due to the increased risk of fire hazards and liability claims associated with such activities.

Decline if the business description indicates more than 25% of annual receipts come from off-premises repair or installation services.

Decline the application if the revenue breakdown shows that off-premises repair or installation services exceed 25% of total annual receipts, as this can elevate operational risks and liability exposure.

Decline if the business description states they sell or install products with known unresolved safety recalls.

If the business offers products that are subject to unresolved safety recalls, decline the application to avoid potential product liability claims and reputational damage.

Decline if the store operates in a flood-prone or seismic zone without appropriate insurance.

Decline the application if the store is located in a flood-prone or seismic zone and lacks appropriate insurance coverage, as this poses a significant risk to property and inventory.

Decline if the store has a history of property damage or bodily injury claims related to improper installation.

If the store has a history of claims related to property damage or bodily injury due to improper installation, decline the application due to ongoing risks that may not be adequately addressed.

Decline if the store does not maintain adequate general liability and product liability insurance.

Decline the application if the store does not have sufficient general liability and product liability insurance coverage, as this presents a significant risk for potential claims and losses.

Laundromats & Laundry Services (BT-0088)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations involve rug cleaning.

Decline coverage if the operations description indicates that rug cleaning services are offered, as this often involves hazardous chemicals and specialized equipment that increase liability and regulatory risks.

Decline if the facility has a history of repeated regulatory violations.

A facility should be declined if there is a documented history of repeated regulatory violations, as this suggests poor risk management and a higher likelihood of future claims or fines.

Decline if the business accepts medical waste or biohazardous materials without proper licensing.

Decline coverage if the operations description includes handling medical waste or biohazardous materials without the necessary permits, as this is illegal and poses significant health risks.

Decline if the facility has no documented employee training on chemical handling and safety.

Coverage should be declined if there is no documentation of employee training on chemical handling and safety, as inadequate training can lead to accidents and liability claims.

Decline if the facility has inadequate fire suppression systems.

Decline coverage if the facility lacks adequate fire suppression systems, as this significantly increases the risk of fire damage and liability, particularly in environments handling flammable materials.

Decline if the facility is a self-service laundromat with no on-site staff.

Decline coverage for self-service laundromats that operate without on-site staff, as this increases the risk of vandalism, theft, and liability due to insufficient supervision.

Leather Goods & Luggage Stores (BT-0089)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if there is a history of frequent or severe theft or vandalism claims.

Decline the application if the business has a history of more than three theft or vandalism claims in the past three years, as this indicates ongoing risk management issues that are unacceptable for this business type.

Decline if the business lacks secure inventory storage, such as unlocked display cases.

Decline the application if the inventory storage is described as 'unlocked', as this suggests inadequate security measures that significantly increase the risk of theft and vandalism.

Decline if there are no established online sales platforms.

Decline the application if the business lacks an online sales platform, as this limits growth and diversification, which are critical for reducing risk in this business type.

Decline if the business has no loss prevention programs or written policies.

Decline the application if there are no established loss prevention programs or written policies, as their absence increases the likelihood of preventable losses.

Decline if the business operates with unrestricted after-hours access to inventory.

Decline the application if there is unrestricted after-hours access to inventory, as this significantly raises the risk of unauthorized entry and theft.

Decline if the business has no employee training in loss prevention.

Decline the application if the business does not provide employee training focused on loss prevention, as untrained staff are less capable of identifying and preventing losses.

Libraries & Museums (BT-0090)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the facility does not have a documented emergency response or disaster recovery plan.

A facility must have a comprehensive emergency response and disaster recovery plan that outlines procedures for various emergencies, including natural disasters and fires. Without this plan, the facility is at a higher risk of catastrophic losses, which is critical for effective risk management.

Decline if the facility lacks adequate security measures such as surveillance cameras.

It is essential for the facility to implement adequate security measures, including surveillance cameras, to deter theft and vandalism. Regular maintenance and monitoring of these security systems are necessary to minimize the risk of property loss and damage.

Decline if the facility does not comply with fire codes or safety regulations.

The facility must comply with all relevant fire codes and safety regulations, ensuring that fire alarms, extinguishers, and emergency exits are properly installed and maintained. Non-compliance poses legal liabilities and safety risks to both patrons and staff.

Decline if the description of operations indicates unrestricted after-hours access to the public.

Controlled access measures must be in place after hours to prevent unrestricted public access, as this increases the risk of theft, vandalism, and accidental damage. Proper access control is vital for maintaining the security of the facility.

Decline if the description of operations reveals frequent hosting of large-scale events without risk mitigation strategies.

Facilities that frequently host large-scale events must have risk mitigation strategies, such as crowd control measures and liability insurance, to manage potential risks. The absence of these strategies significantly increases liability and property risks.

Decline if the description of operations states that the facility lacks climate control systems.

The facility must have appropriate climate control systems, including HVAC, to protect valuable items from deterioration by maintaining optimal temperature and humidity levels. A lack of climate control can lead to significant damage to collections and artifacts.

Lighting Fixtures & Supplies (BT-0091)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business generates more than 75% of total revenue from online sales.

If the business derives over 75% of its total revenue from online sales, it should be declined. This high reliance on online sales increases exposure to shipping losses and cyber risks, which do not align with the preferred appetite.

Decline if the description of operations indicates that installation or repair services exceed 10% of total revenue.

A business should be declined if installation or repair services account for more than 10% of total revenue. This shift in focus from retail to contracting elevates risk exposure.

Decline if the business lacks a centralized alarm system.

Decline the business if it does not have a centralized alarm system in place. Such a system is crucial for safeguarding valuable inventory against theft and loss.

Decline if the description of operations includes manufacturing of lighting fixtures or electrical components on-site.

If the operations description reveals that manufacturing of lighting fixtures or electrical components occurs on-site, the business should be declined. Manufacturing activities introduce additional risks that are not suitable for retail-focused operations.

Decline if the business does not comply with UL, ANSI, or other relevant safety standards.

A business must be declined if it fails to comply with UL, ANSI, or other relevant safety standards. Non-compliance raises liability exposure and undermines product safety, which is critical for underwriting.

Decline if the business has a history of significant inventory losses or theft.

If the business has a documented history of significant inventory losses or theft, it should be declined. Such a history indicates inadequate loss prevention practices, increasing risk for the insurer.

Locksmiths (BT-0092)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business has a history of bankruptcy or ongoing financial instability.

Decline any application from a business that has a history of bankruptcy or shows signs of ongoing financial instability, as this indicates a higher risk of operational failure that could affect its ability to meet financial obligations.

Decline if the business provides high-risk specialty services such as safecracking or electronic access control installation.

Decline applications from businesses that offer high-risk specialty services like safecracking or electronic access control installation, as these services significantly increase liability and exposure to claims.

Decline if the business operates without a physical, alarmed, and securely monitored location.

Decline any business that does not operate from a physical location that is alarmed and securely monitored, as a secure base is essential to mitigate risks associated with theft and vandalism.

Decline if the business has any prior claims related to theft, vandalism, or property damage in the past five years.

Decline applications from businesses with a claims history that includes incidents of theft, vandalism, or property damage within the past five years, as this suggests inadequate security measures and poor risk management.

Decline if the business does not have a documented employee training program focused on security and safety.

Decline any business that lacks a documented employee training program focused on security and safety, as insufficient training can lead to increased accidents and poor service delivery.

Decline if the business uses subcontractors for any locksmith services.

Decline applications from businesses that utilize subcontractors for locksmith services, as this practice can compromise quality control and accountability, increasing operational risks.

Mail & Packaging Services (BT-0093)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if business type is not aligned with underwriting appetite

To ensure compliance with underwriting standards, verify that the business type is categorized within the acceptable limits specified in the underwriting manual. If the business is deemed high-risk or falls outside the established appetite, it should be declined to avoid potential liabilities.

Medical & Dental Offices (BT-0094)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the practice operates without required state or federal licenses for healthcare providers.

Ensure that the practice possesses all necessary state and federal licenses for healthcare providers by verifying through relevant databases. Operating without these licenses poses significant legal and liability risks.

Decline if the office has a history of multiple unresolved malpractice or bodily injury claims.

Investigate the Claims History section for any unresolved malpractice or bodily injury claims, as a pattern of multiple claims indicates ongoing liability exposure and potential future risks.

Decline if the practice has documented evidence of repeated OSHA or CDC violations without corrective action.

Review the Compliance History for records of repeated OSHA or CDC violations, as such violations reflect a lack of commitment to safety standards and increase the likelihood of accidents and legal issues.

Decline if the office operates in a high-crime area without an alarm or security system.

Evaluate the Crime & Safety section to determine if the office is located in a high-crime area and lacks security measures, as this significantly heightens the risk of theft and vandalism.

Decline if the office has inadequate or no ventilation for chemical storage and use.

Check the Ventilation System status in the Premises Description section, as inadequate ventilation can lead to hazardous conditions due to toxic fume buildup, posing health and fire risks.

Decline if the practice uses materials containing lead or other heavy metals without documented mitigation or disposal protocols.

Examine the Materials Used section for any references to lead or heavy metals, as the absence of documented mitigation or disposal protocols raises significant environmental and health concerns.

Medical & Hospital Supply Stores (BT-0095)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if selling unverified medical equipment.

If the operations description indicates the sale or rental of unverified, uncertified, or non-FDA-approved medical equipment, decline the application. Such equipment poses significant safety risks and may not comply with regulatory standards, leading to potential liability issues.

Decline if there are frequent product liability claims.

Decline the application if the operations description reveals a history of frequent or severe claims related to product liability or bodily injury. A pattern of such claims suggests inadequate operational controls and an elevated risk profile.

Decline if maintenance practices are poor.

If the operations description mentions poor maintenance practices or a lack of documented equipment inspections, decline the application. These factors can significantly increase the risk of equipment failure and customer injury.

Decline if operational hours are excessive.

Check the 'Hours of Operation' field; if it indicates hours exceeding 12 per day, decline the application. Extended operational hours can lead to staff fatigue and reduced supervision, increasing the likelihood of accidents.

Decline if there is no sprinkler system.

If the 'Sprinklers' field indicates 'No', decline the application. The absence of a sprinkler system significantly raises the risk of fire damage, especially in a facility that handles medical supplies.

Decline if the building is older than 30 years.

Assess the 'Year Built' field; if it indicates the building is over 30 years old without recent renovations, decline the application. Older buildings may not comply with modern safety standards, increasing the risk of liability claims.

Monument & Tombstone Sales (BT-0096)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if significant environmental violations are indicated.

If the operations description reveals any significant environmental violations, such as pollution or improper waste disposal, decline the application. These violations can lead to legal repercussions and increased liability, posing a high risk for the insurer.

Decline if there is a lack of safety protocols.

An application should be declined if the operations description indicates a lack of safety protocols, including insufficient safety training or emergency procedures. This absence increases the likelihood of workplace accidents and potential liability claims.

Decline if there is a history of unresolved customer disputes.

Reviewing the operations description for unresolved customer disputes is essential; if such disputes are present, the application should be declined. A pattern of unresolved issues can suggest poor service quality and heighten the risk of future claims.

Decline if Hours of Operation are excessively long without adequate staffing.

If the Hours of Operation exceed 12 hours daily without sufficient staffing, the application should be declined. Excessively long hours can lead to employee fatigue, increasing the risk of accidents and operational inefficiencies.

Decline if proper sanitation standards are not maintained.

Verify that the business adheres to proper sanitation standards; if not, decline the application. Poor sanitation practices can lead to health risks and regulatory penalties, which increase liability exposure.

Decline if there is a history of frequent or unresolved claims.

An application should be declined if the claims history indicates frequent or unresolved claims. Such a history signals a higher risk of future losses, making the business uninsurable under standard terms.

Musical Instrument Sales & Repair (BT-0097)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business operates without an alarm or security system.

Decline coverage if the business lacks a functioning alarm or security system, as this increases the risk of theft for high-value instruments. Verify the presence of security measures through documentation or statements confirming their existence.

Decline if the business rents out musical instruments or equipment.

Decline coverage if the business includes rental services, as this elevates liability exposure due to potential damage or loss of equipment. Ensure that the operations description explicitly states the nature of the business activities.

Decline if the business has a history of repeated claims for theft or property damage within the past three years.

Decline coverage if the business has more than two claims related to theft or property damage in the past three years, as this indicates inadequate risk management practices. Review the loss history to assess the overall risk profile.

Decline if the business does not have documented qualifications or experience for repair technicians.

Decline coverage if the business cannot provide documented qualifications or experience for its repair technicians, as unqualified staff may lead to improper repairs and increased liability. Ensure that documentation clearly outlines the technicians' credentials.

Decline if the business does not maintain product liability coverage for all sold instruments and accessories.

Decline coverage if the business lacks product liability coverage for all sold instruments and accessories, as this is essential for protection against claims from defective products. Confirm the extent of coverage through relevant documentation.

Decline if the business has unresolved or frequent customer disputes related to repair work.

Decline coverage if there are frequent or unresolved customer disputes regarding repair work, as this may indicate potential liability issues. Investigate the nature and resolution of these disputes through available documentation.

Office Supplies & Equipment (BT-0098)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the description of operations includes installation or repair services for office equipment.

Decline the application if the operations description mentions installation or repair services for office equipment, as these services increase liability exposure and require specialized coverage not included in standard office supplies insurance.

Decline if the description of operations indicates selling hazardous materials.

Decline the application if the operations description includes any mention of selling hazardous materials, as this presents significant safety and regulatory risks that are not covered under standard office supplies insurance.

Decline if the description of operations reveals a significant portion of revenue from non-office supply products.

Decline the application if a significant portion of revenue is derived from non-office supply products, as this indicates a deviation from the intended risk profile for office supplies and equipment.

Decline if the Hours of Operation exceed standard retail hours.

Decline the application if the Hours of Operation exceed 12 hours per day, as extended hours can increase exposure to theft and liability incidents that may not be adequately covered under standard policies.

Decline if the applicant does not have a documented inventory management system.

Decline the application if the applicant lacks a documented inventory management system, as this increases the risk of theft, loss, and operational disruption, leading to potential financial losses.

Decline if the applicant has a history of regulatory violations.

Decline the application if the applicant has a history of regulatory violations, as this indicates ongoing risk management issues that could lead to future liabilities.

Optical Goods & Services (BT-0099)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of professional liability claims related to incorrect prescriptions.

Decline coverage if the business has a documented history of professional liability claims concerning incorrect prescriptions, as this indicates a pattern of errors that could pose risks to customers and increase liability exposure.

Decline if the business engages in significant in-house manufacturing or laboratory processing beyond minor repairs.

Decline coverage if the business is involved in significant in-house manufacturing or laboratory processing beyond minor repairs, as these activities can introduce additional risks related to quality control and regulatory compliance.

Decline if the business does not maintain documented quality assurance protocols and employee training programs.

Decline coverage if the business lacks documented quality assurance protocols and employee training programs, as these are essential for minimizing operational errors and ensuring staff competency in handling prescriptions.

Decline if the business operates without a comprehensive security system.

Decline coverage if the business does not have a comprehensive security system in place, as this is crucial for protecting inventory and preventing theft, which can lead to significant financial losses.

Decline if the business has inventory levels exceeding $1 million without adequate loss prevention controls.

Decline coverage if the business reports inventory levels exceeding $1 million without sufficient loss prevention controls, as this significantly increases the risk of loss due to theft or damage.

Decline if the business has a pattern of customer complaints related to prescription errors.

Decline coverage if there is a pattern of customer complaints regarding prescription errors, as this suggests systemic issues within the business that could lead to increased liability and customer dissatisfaction.

Paint & Wallpaper Stores (BT-0100)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business performs on-site painting or wallpaper installation as a primary revenue source.

Decline coverage if the business's primary revenue source includes on-site painting or wallpaper installation, as these services carry higher liability risks outside a controlled retail environment.

Decline if the business stores or handles large quantities of flammable or hazardous chemicals without proper containment.

Decline coverage if the business handles large quantities of flammable or hazardous chemicals without proper containment, as this poses significant fire and regulatory risks.

Decline if the business lacks staff training in the safe handling and disposal of paints and solvents.

Decline coverage if there is no evidence of staff training in the safe handling and disposal of paints and solvents, as this increases the risk of accidents and regulatory breaches.

Decline if the business operates in a residential zone or lacks adequate fire suppression systems.

Decline coverage if the business is located in a residential zone or does not have adequate fire suppression systems, as these factors elevate the risk of property and liability losses.

Decline if the business has a history of significant regulatory violations or unresolved citations.

Decline coverage if the business has a history of significant regulatory violations or unresolved citations, indicating ongoing risk and inadequate controls.

Decline if the business allows public access to storage or mixing areas containing hazardous materials.

Decline coverage if the business allows public access to storage or mixing areas with hazardous materials, as this significantly increases the risk of injury and liability claims.

Pet Stores & Pet Grooming (BT-0101)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business handles aggressive or exotic animals.

Decline any application for businesses that handle aggressive or exotic animals, as this significantly increases liability and the risk of severe injury or regulatory action. Verify the operations description for any mention of such animals to ensure safety and compliance.

Decline if the business lacks secure animal enclosures.

Decline applications from businesses that do not have secure animal enclosures, as inadequate containment can lead to animal escapes and safety risks for customers. Confirm the presence of secure enclosures through the premises description and facility layout.

Decline if the business has a history of regulatory violations related to animal welfare.

Decline any business with a history of regulatory violations concerning animal welfare, as this indicates poor risk management and a higher likelihood of future claims. Review the claims history for any records of such violations or complaints.

Decline if the business operates without fire prevention systems.

Decline applications from businesses that do not have fire prevention systems in place, as this significantly increases the risk of property damage and safety hazards. Verify the status of fire safety measures in the crime and safety section.

Decline if the business has been in operation for less than one year.

Decline any application from businesses that have been in operation for less than one year, as they typically lack sufficient operational history, presenting a higher risk for underwriters. Confirm the years in operation as stated in the applicant information.

Decline if the business does not maintain proper ventilation in all animal handling areas.

Decline applications from businesses that do not maintain proper ventilation in all animal handling areas, as inadequate ventilation poses health risks to both animals and staff. Check the ventilation status in the premises description to ensure compliance with health and safety standards.

Photography Studios & Supplies (BT-0102)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if total inventory exceeds $500,000.

If the total inventory value reported in the application exceeds $500,000, decline the application due to increased exposure levels that complicate risk management. A clear breakdown of inventory types and values must be provided to accurately assess the risk.

Decline if operations involve the use of darkroom chemicals.

Decline the application if the description of operations mentions the use of darkroom chemicals, as this raises health, safety, and environmental risks that do not align with our preferred underwriting appetite.

Decline if operations include drone photography.

If the operations description references drone photography, decline the application due to the additional liability risks associated with this activity, which falls outside our preferred underwriting appetite.

Decline if the primary business focus is not on photography services.

Assess the operations description to ensure that photography services are the primary focus; if other services are emphasized, decline the application as it dilutes the risk profile and may not align with intended coverage.

Decline if the studio does not comply with local business regulations.

Verify compliance with local business regulations as indicated in the application; if non-compliance is present, decline the application due to significant legal and operational risks.

Decline if the studio operates primarily as an equipment rental facility.

If the operations description indicates that the primary focus is on equipment rental rather than photography services, decline the application as this business model does not fit within our preferred underwriting appetite.

Plumbing & HVAC Contractors (BT-0103)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if operations involve demolition or high-risk construction activities.

Operations must not include any demolition or blasting activities, as these present significant risks of injury and property damage that are incompatible with the preferred risk profile. Verify that the business strictly focuses on plumbing and HVAC services without engaging in high-risk construction.

Decline if operations include asbestos or lead paint abatement.

Any references to asbestos or lead paint abatement in the operations description indicate serious health risks and increased liability exposure, which are unacceptable for preferred coverage. Ensure that the business's operations are confined to non-hazardous materials.

Decline if the business has a history of frequent or severe claims.

A review of the claims history should reveal no patterns of frequent or severe claims, as such a history suggests poor risk management and safety practices that do not align with the preferred risk appetite. Assess the nature and frequency of past claims to evaluate the risk level.

Decline if operations are conducted in high-risk environments.

Operations must not take place in high-risk environments, such as those described as 'industrial' or 'hazardous', as these settings present elevated risks that are not suitable for the preferred risk profile. Ensure that the business operates in safe and controlled environments.

Decline if the business does not maintain regular employee safety training.

It is essential to verify that the business maintains regular employee safety training, as ongoing training is crucial for minimizing accidents and ensuring equipment safety. A lack of evidence for such training raises concerns about the business's commitment to safety.

Decline if the business does not comply with local, state, or federal safety regulations.

Assess the business's compliance with relevant safety regulations, as non-compliance can lead to significant legal and safety risks that are unacceptable for preferred coverage. Ensure that the business possesses the necessary certifications and adheres to regulatory standards.

Post Office & Shipping Centers (BT-0104)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if operations accept or ship prohibited, hazardous, or illegal items without proper controls.

Decline coverage if the operations accept or ship prohibited, hazardous, or illegal items without established controls. It is essential to verify the types of items being handled and ensure that documented procedures are in place to manage any restricted materials, as this is vital for mitigating legal and safety risks.

Decline if operations lack documented staff training in shipping, safety, and customer service.

Decline coverage if the operations do not have documented staff training programs related to shipping, safety, and customer service. Ensuring that employees are adequately trained is crucial for maintaining operational efficiency and safety, thereby reducing the likelihood of errors and accidents.

Decline if operations are located in high-crime areas with repeated incidents of theft or vandalism.

Decline coverage if the operations are situated in high-crime areas that have a history of theft or vandalism. Such locations increase the risk of loss and liability, which can adversely affect the business's insurance profile.

Decline if operations have unresolved regulatory violations or ongoing investigations.

Decline coverage if the operations have unresolved regulatory violations or are subject to ongoing investigations. A history of compliance issues can indicate a lack of adherence to necessary regulations, posing significant reputational and compliance risks.

Decline if operations lack adequate security measures, such as surveillance cameras or secure storage.

Decline coverage if the operations do not implement adequate security measures, including surveillance systems or secure storage options. Proper security is essential for preventing theft and ensuring customer safety, which directly influences the overall risk profile of the business.

Decline if operations have a history of frequent claims related to lost or damaged shipments.

Decline coverage if the operations exhibit a history of frequent claims concerning lost or damaged shipments. A high frequency of such claims indicates operational inefficiencies and elevates the risk exposure for the insurer.

Printing & Copying Services (BT-0105)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if equipment is older than 20 years.

Decline coverage if the equipment listed in the application is older than 20 years, as such equipment is more susceptible to breakdowns and potential fire hazards. Verify the year built and ensure that the equipment is regularly maintained and meets current safety standards.

Decline if there is no documentation of employee training on hazardous material handling.

Decline coverage if there is no documentation proving that employees have been trained in handling hazardous materials, as this training is crucial for minimizing workplace accidents and ensuring compliance with safety regulations.

Decline if the ventilation system is inadequate or non-functional.

Decline coverage if the ventilation system is found to be inadequate or non-functional, as this can expose employees to harmful volatile organic compounds and other hazardous substances, increasing health risks.

Decline if there is a history of multiple or severe insurance claims.

Decline coverage if the claims history indicates more than two claims in the last three years, as this suggests a pattern of risk that could lead to future claims and should be carefully evaluated.

Decline if operations regularly engage in high-risk printing processes without adequate safety controls.

Decline coverage if the operations involve high-risk printing processes without stringent safety controls, as these processes can significantly increase fire and health hazards.

Decline if there are unresolved regulatory violations or outstanding fines.

Decline coverage if the business has unresolved regulatory violations or outstanding fines, as this indicates a disregard for safety and compliance, posing an unacceptable risk to insurability.

Real Estate Agencies (BT-0106)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the agency is involved in property development or construction management.

Decline coverage if the agency engages in property development or construction management, as these activities carry higher liability risks that exceed the standard appetite for real estate agency coverage. Ensure that the agency's focus is solely on real estate transactions.

Decline if the agency has a history of significant claims or litigation related to transaction errors.

Coverage should be declined if the agency has a history of significant claims or ongoing litigation due to transaction errors, as this indicates inadequate risk management practices and increases the likelihood of future losses.

Decline if the agency routinely handles high-risk properties, such as those in flood zones.

Decline coverage if the agency routinely manages high-risk properties, including those located in flood zones, as this significantly raises the potential for claims and losses.

Decline if the agency does not maintain adequate professional liability insurance.

If the agency lacks adequate professional liability insurance, decline coverage, as this exposes them to significant risks related to misrepresentation or transaction errors that could lead to costly claims.

Decline if the agency has inadequate financial stability or poor credit history.

Decline coverage if the agency demonstrates inadequate financial stability or has a poor credit history, as this raises concerns about their ability to manage claims and maintain business viability.

Decline if the agency fails to disclose prior losses or regulatory actions.

Coverage should be declined if the agency fails to disclose prior losses or regulatory actions, as this lack of transparency indicates higher future risks that can adversely affect underwriting decisions.

Restaurants (Various Types: Full Service, Limited Service, Fast Food) (BT-0107)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the establishment has a bar or cocktail lounge.

Decline applications for establishments that include a bar or cocktail lounge, as these areas significantly increase liquor liability and slip-and-fall risks. Verify the operations description for any references to such facilities, and if found, further investigation into the liquor license and operational practices is necessary.

Decline if the establishment's alcohol sales exceed 25% of total sales.

If alcohol sales exceed 25% of total sales, decline the application, as higher alcohol sales correlate with increased risks for alcohol-related incidents. Review financial statements or sales reports to ensure accurate calculations reflecting current sales trends.

Decline if the total floor area exceeds 7,500 square feet.

Applications should be declined if the total floor area exceeds 7,500 square feet, as larger venues present greater risks for incidents and claims. Confirm the total floor area in the Premises Description section to adhere to this guideline.

Decline if the seating capacity exceeds 150 customers.

Decline applications for establishments with a seating capacity exceeding 150 customers, as this raises crowd management and safety concerns. Examine the seating capacity stated in the Premises Description section to assess the implications for safety and liability.

Decline if the establishment is closed for more than 30 consecutive days.

If an establishment has been closed for more than 30 consecutive days, decline the application due to potential operational instability and inconsistent risk exposure. Verify the Hours of Operation to check for any extended closures.

Decline if the establishment has a history of significant claims.

Investigate the Claims History section for any record of significant claims, as a history of such claims indicates higher ongoing risk and poor management practices. If significant claims are noted, further scrutiny of the establishment's risk management practices is warranted.

Self Storage Facilities (BT-0108)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the facility permits storage of flammable, explosive, or toxic substances without proper endorsements.

Decline coverage if the facility allows the storage of flammable, explosive, or toxic substances without the necessary endorsements. It is essential to verify the types of materials stored by reviewing the operations description and safety documentation to mitigate the risks associated with these hazardous materials.

Decline if the facility allows cold storage or storage of industrial materials, chemicals, pollutants, or waste.

Decline coverage if the facility permits cold storage or the storage of industrial materials, chemicals, pollutants, or waste, as these are typically not covered under standard self-storage operations. Confirming the absence of such storage is crucial to minimize potential hazards.

Decline if the facility lacks controlled access systems or does not operate surveillance cameras continuously (24/7).

Decline coverage if the facility does not have controlled access systems or fails to operate surveillance cameras continuously. These security measures are vital for reducing the risk of theft and vandalism, and their absence should be documented in the application.

Decline if the facility exceeds two stories in height.

Decline coverage if the facility exceeds two stories in height, as this increases fire and life safety risks. It is important to verify the height of the building through the premises description to assess risk exposure accurately.

Decline if the facility does not maintain documentation of portable storage unit contents on-site.

Decline coverage if the facility lacks a system for documenting the contents of portable storage units on-site. This documentation is essential for transparency and regulatory compliance, and its absence significantly increases risk exposure.

Decline if the facility allows portable storage units to remain on-site for more than 90 days without specialized endorsements.

Decline coverage if portable storage units are allowed to remain on-site for more than 90 days without the appropriate endorsements. This practice increases risk and necessitates additional controls, making compliance verification essential for effective risk management.

Shoe Stores & Repair (BT-0109)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the business engages in equipment rental or leasing.

If the business is found to engage in equipment rental or leasing, it should be declined as these activities introduce additional liability and operational risks that are not covered under standard policies for shoe stores.

Decline if the business has unresolved or repeated safety code violations.

A business with unresolved or repeated safety code violations should be declined, as these indicate systemic safety management issues that could lead to increased risk exposure.

Decline if the business operates from premises with significant structural issues.

Decline any business operating from premises rated as having significant structural issues, as this condition poses risks to both employees and customers, increasing the likelihood of accidents and legal claims.

Decline if the business description indicates use of hazardous materials for repairs.

If the business description reveals the use of hazardous materials for repairs, it should be declined due to the heightened risk of workplace injuries and environmental hazards that necessitate strict safety protocols.

Decline if the business has a history of frequent slip-and-fall incidents.

A business with a history of frequent slip-and-fall incidents should be declined, as this suggests inadequate safety measures and increases the likelihood of future claims.

Decline if the business does not maintain a documented strong safety record.

Decline any business that does not maintain a documented strong safety record, as a weak safety record indicates potential for increased claims and liability exposure, which is a significant concern for underwriting.

Shopping Centers & Strip Malls (BT-0110)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if the tenant mix includes high-risk businesses such as nightclubs or cannabis dispensaries.

Decline coverage if the tenant mix includes high-risk businesses like nightclubs or cannabis dispensaries, as these can elevate liability and property risks. Review the list of tenants and their business types to assess the overall risk profile of the shopping center or strip mall.

Decline if the premises description indicates significant deferred maintenance.

Decline coverage if the premises description reveals significant deferred maintenance, such as outdated facilities or necessary repairs, as this suggests poor property management and increases the risk of liability claims. A thorough inspection report can provide insights into the property's current condition.

Decline if the property has unresolved code violations.

Decline coverage if there are unresolved code violations, as these can lead to regulatory actions and increase the risk of loss due to potential fines or mandated repairs. Confirm compliance with local regulations by reviewing the 'Code Violations' section.

Decline if the property has a history of frequent claims, including slip-and-fall incidents.

Decline coverage if the property has a history of frequent claims, particularly related to slip-and-fall incidents, as this indicates poor risk management practices and a higher likelihood of future losses. Examine the 'Claims History' section for records of multiple claims.

Decline if the property is located in a high-crime area without adequate security measures.

Decline coverage if the property is situated in a high-crime area and lacks adequate security measures, as this increases the risk of theft, vandalism, and liability claims. Assess the 'Security Measures' section to determine the sufficiency of security protocols.

Decline if the parking facilities are inadequate or poorly maintained.

Decline coverage if the parking facilities are inadequate or poorly maintained, as this can lead to accidents and increased liability exposures. Review the 'Parking Facilities' section for descriptions of the condition and maintenance of parking areas.

Sporting Goods Stores (BT-0111)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if more than 5% of annual receipts are from gun or ammunition sales.

Decline coverage if the store's annual receipts from gun or ammunition sales exceed 5%, as this indicates a higher liability exposure that surpasses our underwriting appetite. Verify this percentage by reviewing the financial statements or sales reports to ensure accuracy.

Decline if the store offers repair or rental services for firearms or ammunition.

If the store provides repair or rental services for firearms or ammunition, decline coverage due to the significant liability risks associated with these services. Review the operations description for any terms related to repair or rental to confirm this.

Decline if the store has significant sales of high-risk sports equipment without adequate safety protocols.

Decline coverage if the store sells high-risk sports equipment without documented safety protocols, as this can lead to increased liability exposure. Assess the operations description for mentions of high-risk equipment and verify the existence of safety measures.

Decline if the store lacks documented safety protocols for instructional activities.

If the store does not have documented safety protocols for its instructional activities, decline coverage due to the higher risks of injury claims. Ensure that the protocols are comprehensive and cover all aspects of the activities offered.

Decline if the store has a history of frequent or severe liability claims.

Review the claims history for any patterns of frequent or severe liability claims; if such patterns exist, decline coverage as they indicate ongoing risk exposures. Analyze the nature and frequency of past claims to assess the overall risk level.

Decline if the store allows unsupervised use of rental equipment.

Decline coverage if the store permits unsupervised use of rental equipment, as this significantly increases the risk of injuries and liability claims. Investigate the operations description for any policies regarding supervision during the use of rental equipment.

Stationery & Paper Products (BT-0112)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business manufactures or imports stationery products without documented compliance with safety and labeling regulations.

Decline coverage if the business cannot provide documented proof of compliance with safety and labeling regulations for its manufactured or imported stationery products. This documentation is essential to mitigate liability risks and ensure consumer protection.

Decline if the business has a history of repeated regulatory violations or fines.

Decline coverage if the business has a documented history of repeated regulatory violations or fines, as this indicates a pattern of non-compliance that may lead to future incidents and increased risk.

Decline if the business operates exclusively in high-crime or politically unstable regions.

Decline coverage if the business operates solely in areas identified as high-crime or politically unstable, as these locations present heightened risks that can adversely affect property and operations.

Decline if the business does not maintain any form of inventory tracking or loss prevention measures.

Decline coverage if the business lacks inventory tracking or loss prevention measures, as this significantly increases the risk of theft, loss, and mismanagement, jeopardizing financial stability.

Decline if the business lacks adequate fire safety measures or is non-compliant with local building codes.

Decline coverage if the business does not have adequate fire safety measures or fails to comply with local building codes, as this non-compliance raises property and liability risks due to potential hazards.

Decline if the business is involved in selling counterfeit or unlicensed branded stationery products.

Decline coverage if the business is found to be selling counterfeit or unlicensed branded stationery products, as such activities pose significant legal and reputational risks that render the business uninsurable.

Supermarkets & Grocery Stores (BT-0113)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if there is a history of unresolved health, safety, or environmental violations.

Verify the business's past health, safety, and environmental records to ensure there are no outstanding violations. Unresolved issues can indicate a pattern of negligence that poses ongoing operational risks.

Decline if the store does not maintain proper refrigeration and temperature controls for perishable goods.

Check for documentation confirming that the store's refrigeration systems are functioning correctly and regularly monitored, as proper refrigeration is critical to prevent spoilage and protect consumer health.

Decline if the operations lack a documented emergency response and evacuation plan.

Ensure that the business has a written emergency response and evacuation plan that is regularly reviewed and includes procedures for various emergencies, as a lack of preparedness can significantly increase risks.

Decline if the store's floor area is less than 1,000 sq ft.

Verify the total floor area of the store to ensure it meets the minimum requirement of 1,000 square feet, as smaller stores may lack the necessary infrastructure for effective risk management and safety protocols.

Decline if the business does not conduct regular inspections or fail to document safety and sanitation procedures.

Confirm that the business conducts regular safety and sanitation inspections and maintains documentation of these activities, as regular inspections are essential to identify potential hazards and ensure compliance with health regulations.

Decline if the store sells restricted items such as alcohol or tobacco without proper licensing.

Verify that the store holds the necessary licenses to sell restricted items like alcohol or tobacco, as selling these items without proper licensing can lead to legal issues and increased liability exposure.

Tailors & Dressmakers (BT-0114)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if business operates as a full-scale manufacturing plant.

Decline coverage if the business description indicates full-scale manufacturing activities, as these operations typically involve higher risks, including equipment hazards and increased liability. Look for terms related to large-scale production or assembly lines in the operations description.

Decline if the business has a history of regulatory violations.

A history of regulatory violations warrants a decline, as it suggests a lack of operational controls that can elevate the risk profile of the business. Review the loss history for any mentions of non-compliance, fines, or penalties.

Decline if the business has significant e-commerce operations without adequate cyber controls.

If the business engages in significant e-commerce operations without proper cyber controls, it should be declined due to the heightened risk of data breaches and cyber incidents. Confirm the presence of a documented cybersecurity policy to ensure adequate safeguards are in place.

Decline if the business operates 24/7 without staff supervision.

Decline coverage if the business operates continuously without supervision, as this increases the risks of theft, property damage, and liability claims. Assess whether security measures are implemented during off-hours.

Decline if the business is located in an industrial zone with heavy machinery.

If the business is situated in an industrial zone where heavy machinery is present, it should be declined due to the increased hazards that are unsuitable for tailoring operations. Verify the location to understand the surrounding environment and associated risk exposure.

Decline if on-premises dry cleaning using hazardous chemicals is reported.

Decline coverage if the business reports on-premises dry cleaning operations that utilize hazardous chemicals, as this raises environmental and health risks beyond acceptable levels for preferred underwriting. Ensure compliance with safety regulations regarding such operations.

Tax Preparation & Accounting (BT-0115)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business provides financial planning or investment advisory services.

Decline any business that offers financial planning or investment advisory services, as these operations introduce regulatory complexities and liability risks beyond standard tax preparation practices.

Decline if the business serves clients with a known history of tax evasion or fraud.

It is essential to decline businesses that serve clients with a known history of tax evasion or fraud, as this association can lead to increased compliance risks and potential damage to the firm's reputation.

Decline if the business operates in a shared office environment without adequate data security measures.

Decline any business operating in a shared office environment that lacks adequate data security measures, as this situation significantly heightens the risk of data breaches and compromises client confidentiality.

Decline if the business does not maintain professional liability insurance.

Confirm that the business maintains professional liability insurance; if it does not, decline the application, as the absence of this coverage exposes the firm to substantial financial risks from potential claims.

Decline if the business serves clients with complex financial situations requiring specialized knowledge.

Decline businesses that serve clients with complex financial situations requiring specialized knowledge, as these cases often exceed the capabilities of standard tax preparation services and increase liability risks.

Decline if the business lacks clear, written client engagement agreements.

Verify the presence of clear, written client engagement agreements; if such agreements are absent, decline the business, as this can lead to misunderstandings and disputes that elevate liability risks.

Tire & Automotive Centers (BT-0116)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if operations include towing or roadside assistance services.

Applications should be declined if the business operations include towing or roadside assistance services, as these activities significantly elevate liability and property exposures beyond the preferred risk profile.

Decline if the business performs major engine or transmission repairs.

If the operations description indicates that the business performs major engine or transmission repairs, the application must be declined due to the higher operational risks associated with these services, which do not align with the preferred appetite level.

Decline if the facility engages in bodywork or collision repair services.

Applications should be declined if the facility is involved in bodywork or collision repair services, as these activities require specialized facilities and present higher property and environmental risks that are not acceptable under the preferred classification.

Decline if the facility operates 24/7 without adequate staffing.

If the facility operates 24/7 without sufficient staffing controls, the application should be declined due to the increased exposure to theft and accidents that arise from inadequate staffing during extended hours.

Decline if the facility handles large quantities of hazardous materials.

The application must be declined if the facility handles large quantities of hazardous materials that exceed regulatory thresholds, as this significantly increases fire, environmental, and regulatory risks that are not acceptable for preferred coverage.

Decline if the facility lacks clear separation between customer and service areas.

Applications should be declined if there is no clear separation between customer and service areas, as this lack of separation increases the risk of customer injury and compromises safety, which is critical for underwriting.

Toy Stores (BT-0117)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if there are unresolved liability claims.

Decline coverage if the business has unresolved product or premises liability claims from the past three years, as these indicate ongoing risk and poor risk management practices.

Decline if there is no employee training.

Decline coverage if the business does not provide any employee training on safety, product handling, or data security, as the absence of such training can lead to increased accidents and breaches.

Decline if there is non-compliance with safety regulations.

Decline coverage if the business fails to comply with CPSC or other relevant safety regulations, as non-compliance poses significant legal and reputational risks.

Decline if there are no inventory controls.

Decline coverage if the business has no documented inventory controls or stock audit processes, as inadequate inventory management can lead to increased loss and operational inefficiency.

Decline if suppliers are unvetted.

Decline coverage if the business sources toys from unvetted or non-compliant suppliers, as this increases liability exposure due to potential unsafe products.

Decline if premises are unsafe.

Decline coverage if the business operates in unsafe or non-compliant premises, as this significantly raises the risk of injury and liability claims.

Travel Agencies (BT-0118)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the agency has experienced multiple or unresolved data breaches in the past five years.

Decline to engage with the agency if it has a history of multiple or unresolved data breaches within the last five years, as this indicates ongoing vulnerabilities that significantly heighten the risk of future incidents.

Decline if the agency does not provide any cybersecurity or data privacy training to employees.

If the agency fails to offer cybersecurity or data privacy training to its employees, decline the engagement, as untrained staff are more likely to contribute to or overlook potential data breaches.

Decline if the agency books travel to politically unstable or sanctioned regions without comprehensive risk assessments.

Decline to work with the agency if it books travel to politically unstable or sanctioned regions without conducting thorough risk assessments, as this practice poses elevated risks of liability and regulatory violations.

Decline if the agency does not have a written incident response plan for data breaches.

If the agency lacks a written incident response plan for data breaches, decline the engagement, as the absence of such a plan indicates inadequate preparedness to manage potential incidents effectively.

Decline if the agency stores unencrypted customer personal or payment information.

Decline to engage with the agency if it stores customer personal or payment information without encryption, as this practice exposes sensitive data to significant cyber threats.

Decline if the agency has not undergone a third-party cybersecurity audit in the past 18 months.

If the agency has not completed a third-party cybersecurity audit in the past 18 months, decline the engagement, as the lack of independent assessment may leave undetected vulnerabilities that increase risk exposure.

Trophy & Awards Shops (BT-0119)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if there is a history of repeated safety violations.

Decline the application if there is a documented history of repeated safety violations within the last three years, as this indicates a lack of commitment to maintaining a safe working environment and increases liability risks.

Decline if the shop lacks secure storage for high-value inventory.

Decline the application if the shop does not have secure, lockable storage for high-value inventory, as this significantly raises the risk of theft and potential financial loss.

Decline if the business does not provide regular safety training for staff operating machinery.

Decline the application if there is no documented safety training program for employees operating machinery, as the absence of regular training can lead to workplace injuries and increased liability.

Decline if the shop has no documented equipment maintenance records.

Decline the application if the shop lacks documentation of regular equipment maintenance, as this indicates potential negligence and increases the risk of accidents.

Decline if the shop does not have formalized quality control processes.

Decline the application if there are no established formal quality control processes, as this raises the likelihood of product defects and associated liability claims.

Decline if subcontracted work is performed by unvetted third parties.

Decline the application if subcontracted work is performed by unvetted third parties, as this exposes the business to significant liability risks due to potential non-compliance with quality and safety standards.

Upholstery Services (BT-0120)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if operations involve hazardous or banned materials.

Decline coverage if the upholstery services utilize any hazardous or banned materials, as verified through a review of the operations description against regulatory guidelines. Ensuring compliance with material safety standards is essential to mitigate the risk of severe claims and regulatory violations.

Decline if there are no documented safety protocols for handling chemicals and machinery.

Coverage should be declined if the business lacks documented safety protocols for handling chemicals and machinery, which can be confirmed by reviewing safety manuals and training records. The absence of such documentation indicates a heightened risk of workplace accidents and exposure to hazardous substances.

Decline if the business has a history of significant or recurring insurance claims.

Decline coverage if the business has a history of significant or recurring insurance claims, as indicated by the claims history section. A pattern of frequent or severe claims reflects ineffective risk management practices and raises concerns about the overall risk profile of the business.

Decline if the business does not maintain any security measures for inventory.

Decline coverage if the business does not have adequate security measures in place for inventory protection, which can be assessed through the premises description. Insufficient security increases the risk of theft or loss, making it critical to ensure proper inventory safeguards.

Decline if the business operates without adequate commercial auto insurance.

Coverage should be declined if the business lacks adequate commercial auto insurance, as confirmed by examining the liability coverages section for active policies. Ensuring continuous coverage is vital to protect against risks associated with transportation.

Decline if the business does not comply with local regulations.

Decline coverage if the business fails to comply with local regulations, which can be verified by reviewing the operations description and relevant permits. Adherence to safety, health, and environmental regulations is crucial to avoid legal issues and minimize liability exposure.

Vacuum Cleaner Sales & Service (BT-0121)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business engages in the manufacturing or assembly of vacuum cleaners.

Decline coverage if the business is involved in the manufacturing or assembly of vacuum cleaners, as these activities carry higher product liability and operational risks. Ensure that the business is solely focused on sales and service without any production processes.

Decline if the business performs extensive electrical modifications or customizations to vacuum cleaners.

Decline coverage if the business conducts extensive electrical modifications or customizations to vacuum cleaners, as these practices can increase the risk of electrical hazards. It is essential that the business adheres to standard service practices without making significant alterations to the products.

Decline if the business has a history of frequent product defect or overheating claims.

Decline coverage if the business has a history of frequent claims related to product defects or overheating, as this indicates inadequate risk controls. A pattern of such claims suggests a higher potential for future losses, necessitating a thorough assessment of the business's risk management practices.

Decline if the business lacks proper business licenses or fails to comply with electrical safety regulations.

Decline coverage if the business does not possess the necessary licenses or fails to comply with electrical safety regulations, as non-compliance can lead to regulatory penalties and increased liability claims. It is critical to confirm that the business operates legally and adheres to safety standards.

Decline if the business allows unsupervised onsite repairs or demonstrations at customer premises.

Decline coverage if the business permits unsupervised onsite repairs or demonstrations, as this can lead to property damage or bodily injury, increasing liability risks. All service activities should be conducted under supervision to mitigate these risks.

Decline if the business sells recalled, counterfeit, or non-compliant vacuum cleaner products.

Decline coverage if the business sells recalled, counterfeit, or non-compliant vacuum cleaner products, as this significantly raises the risk of liability and regulatory action. It is essential to ensure that the business only offers compliant and safe products to customers.

Variety & General Merchandise Stores (BT-0122)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if annual gross sales exceed $1 million without robust inventory and loss prevention controls.

Decline coverage if the applicant's annual gross sales surpass $1 million and they lack adequate inventory management and loss prevention measures. This situation increases risk exposure, necessitating advanced strategies to mitigate potential losses.

Decline if the description of operations indicates sale of firearms or tobacco products.

Decline coverage if the applicant's operations include the sale of firearms or tobacco products, as these items are heavily regulated and carry significant liability risks that can affect underwriting decisions.

Decline if the description of operations reveals a primary focus on pawn or consignment goods.

Decline coverage if the applicant primarily deals in pawn or consignment goods, as these operations heighten risks related to inventory intake and verification, complicating the underwriting process.

Decline if online sales exceed 90% of total sales without robust cybersecurity measures.

Decline coverage if online sales constitute more than 90% of total sales without strong cybersecurity measures in place, as this significantly increases exposure to cyber threats and fraud risks.

Decline if there is no documented inventory management system.

Decline coverage if the applicant does not have a documented inventory management system, as effective controls are crucial for minimizing shrinkage and financial loss.

Decline if the description of operations indicates frequent theft or fraud incidents.

Decline coverage if the applicant's operations frequently reference theft or fraud incidents, as a history of such issues indicates higher operational and liability risks that can adversely impact underwriting decisions.

Video & Media Stores (BT-0123)

Appetite Level: **Preferred**

Business-Specific Guidelines

Decline if there is no burglar or fire alarm system in place.

Decline the application if there is no burglar or fire alarm system in place, as these systems are essential for protecting the premises from theft and fire risks. Verify their presence through the application details, and ensure the applicant understands the importance of these systems in mitigating risk.

Decline if the Description of Operations indicates hosting public events without permits.

If the Description of Operations reveals that public events are hosted without the necessary permits, decline the application due to significant liability and regulatory concerns. Confirm compliance with local regulations to avoid potential risks.

Decline if the Description of Operations reveals ongoing regulatory violations.

Decline the application if the Description of Operations indicates ongoing regulatory violations, as these can lead to legal penalties and harm the insurer's reputation. Ensure the applicant is actively addressing any violations before proceeding.

Decline if there are no security cameras covering public areas.

If the application shows that there are no security cameras covering public areas, decline the application due to increased theft risk and challenges in incident monitoring. Encourage the applicant to consider installing cameras to enhance security.

Decline if the Description of Operations indicates no employee training on safety and loss prevention.

Decline the application if the Description of Operations indicates a lack of employee training on safety and loss prevention, as this can lead to increased incidents and losses. Verify that the business has established training protocols to prepare staff effectively.

Decline if the business has a history of repeated theft incidents.

If the Loss History section reveals a pattern of repeated theft incidents, decline the application due to inadequate risk management and ineffective loss prevention strategies. Ensure the applicant has taken measures to improve security before considering approval.

Web Design & Online Services (BT-0124)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the business engages in media production activities.

Decline coverage if the business description indicates involvement in media production activities, as this can introduce additional liability and copyright risks not covered under standard web design policies.

Decline if the business engages in broadcasting activities.

Decline coverage if the business operations include broadcasting activities, which present unique regulatory and operational risks that standard web design insurance does not typically address.

Decline if the business has a history of significant cyber incidents.

Decline coverage if the business has reported significant cyber incidents, as this may indicate ongoing vulnerabilities that could lead to future claims.

Decline if the business accepts or processes cryptocurrency payments.

Decline coverage if the business accepts or processes cryptocurrency payments, as these transactions introduce emerging risks and regulatory uncertainties not adequately covered by standard policies.

Decline if the business lacks professional liability (E&O;) coverage.

Decline coverage if the business does not have professional liability (Errors & Omissions) coverage, as this is essential for mitigating risks associated with errors in their services.

Decline if the business fails to comply with data protection regulations.

Decline coverage if the business does not comply with relevant data protection regulations, as non-compliance can lead to regulatory penalties and reputational harm.

Wedding Services & Chapels (BT-0125)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if the business hosts events exceeding 300 attendees.

Decline coverage if the business hosts events with more than 300 attendees, as larger gatherings can lead to crowd control issues and increased liability risks. Verify the maximum capacity through appropriate documentation to ensure compliance with local regulations.

Decline if the business provides or serves alcohol on premises.

Decline coverage if the business serves alcohol, as this significantly increases liability exposure beyond the acceptable underwriting appetite. Confirm the presence of alcohol service through relevant permits and operational descriptions.

Decline if the business allows fireworks, pyrotechnics, or open flames.

Decline coverage if the business permits fireworks, pyrotechnics, or open flames, as these activities pose severe fire hazards and increase injury risks. Ensure compliance with safety regulations through appropriate documentation.

Decline if the business operates without required local permits or licenses.

Decline coverage if the business lacks necessary local permits or licenses, as this indicates regulatory non-compliance and presents unmanageable risks. Verify that all documentation is current and valid.

Decline if the business has a history of claims or losses in the past three years.

Decline coverage if the business has a history of claims or losses in the past three years, as this indicates a higher risk profile that may not align with underwriting standards. Review claims history reports to assess overall risk.

Decline if the business constructs or installs temporary structures without licensed contractors.

Decline coverage if the business constructs or installs temporary structures without licensed contractors, as improper installations can lead to significant risks. Confirm contractor licensing and compliance with safety standards through relevant documentation.

Window Treatments & Blinds (BT-0126)

Appetite Level: **Acceptable**

Business-Specific Guidelines

Decline if the applicant employs untrained or uncertified personnel for installation or repair work.

Decline the application if the applicant employs personnel who lack proper training or certification for installation or repair work, as this increases the risk of improper installations and potential claims. Documentation confirming the qualifications of their employees must be provided.

Decline if the applicant cannot provide proof of staff training or adherence to industry safety standards.

An application should be declined if the applicant fails to provide documentation demonstrating compliance with industry safety standards and training protocols, as this indicates a lack of commitment to safety and increases liability risks.

Decline if the applicant performs major electrical work or rewiring as part of window treatment installation.

If the applicant indicates that they perform major electrical work or rewiring as part of their services, the application should be declined due to the increased liability exposure associated with such activities.

Decline if the applicant uses subcontractors who do not hold valid licenses.

Decline the application if the applicant uses subcontractors without valid licenses, as this poses an unacceptable risk transfer and liability issue that must be addressed through proper documentation.

Decline if the applicant has more than 50% of revenue from commercial or industrial clients.

Review the revenue breakdown, and if more than 50% of the applicant's revenue is derived from commercial or industrial clients, decline the application due to the heightened risk profile that exceeds acceptable limits.

Decline if the applicant provides window treatment services as part of broader general contracting or remodeling activities.

Decline the application if the applicant offers window treatment services within a broader scope of general contracting or remodeling, as this increases potential liability and falls outside the acceptable risk appetite.

Woodworking & Carpentry (BT-0127)

Appetite Level: **Limited**

Business-Specific Guidelines

Decline if operations involve flammable or toxic finishing chemicals without proper ventilation.

Decline coverage if the operations involve flammable or toxic finishing chemicals and there is no evidence of proper ventilation systems. This is essential to prevent significant fire hazards and health risks for workers.

Decline if the business performs structural framing or load-bearing construction.

Decline coverage if the business engages in structural framing or load-bearing construction, as these activities carry higher liability and risk of catastrophic loss, necessitating stricter underwriting.

Decline if the business has a history of OSHA violations in the past three years.

Decline coverage if the business has reported any OSHA violations in the past three years, as this indicates ongoing safety management issues that could lead to increased risk and potential claims.

Decline if the workshop is located in a residential garage without proper zoning.

Decline coverage if the workshop is located in a residential garage and lacks proper zoning compliance, as this can result in regulatory issues and heightened risk.

Decline if the business has more than 20 employees without dedicated risk management.

Decline coverage if the business has more than 20 employees and does not have dedicated risk management personnel, as formal risk management strategies are necessary to manage exposures and mitigate potential losses.

Decline if the workshop has significant combustible dust accumulation and no dust extraction system.

Decline coverage if there is significant combustible dust accumulation in the workshop and no dust extraction system is in place, as this greatly increases the risk of fire and accidents.